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商业生态系统视角下出口型跨境电商企业的海外战略分析
——以 Temu 为例

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——以 Temu 为例

Analysis on Overseas Strategy of Export-Oriented Cross-
Border E-commerce Enterprises under the Perspective of
Business Ecosystem Theory: a Case Study on Temu

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摘 要

跨境电商作为一种新兴的商业模式,近年来不仅在全球范围内呈现快速发展趋势,也成为推动中国经济发展的重要驱动力,促进了制造业向"数字化、网络化、智能化"的加速发展,进一步推动了实体经济的繁荣及产业的转型升级。这一蓬勃发展趋势吸引了大量企业进入跨境电商领域,行业内部竞争日趋激烈。在此激烈的竞争环境下,许多跨境电商企业为了在激烈的市场竞争中脱颖而出,纷纷寻求差异化发展。然而,尽管当前跨境电商行业环境和生态相对较好,但仍有更多跨境电商企业面临新的挑战 and 风险。自 2021 年以来,电商巨头亚马逊大规模封禁中国商家,这也给行业的未来蒙上了阴影;此外,一些跨境电商平台企业也遭遇了退市、破产、重组等重大事件。如何使跨境电商企业在日益激烈的全球市场中实现良好增长和发展,已成为急需解决的问题。

作为拼多多在海外市场的重要战略布局,TEMU 自 2022 年在美国上线以来实现了快速发展。目前,TEMU 不仅成为拼多多在海外市场的主要战略支点,也成为仅次于亚马逊和 eBay 的另一个重要全球跨境电商平台。本文拟以 TEMU 为案例,综合运用文献分析和案例分析的方法,对以 TEMU 为代表的跨境电商企业进行研究。本文主要内容分为五个部分:第一部分介绍主要包括跨境电商的定义、当前发展趋势以及本文的研究问题和意义;第二部分主要对相关文献进行综述,并阐述了业务生态系统的理论框架;第三部分分析了 TEMU 平台的当前发展及其优势;第四部分全面分析了 TEMU 平台海外战略的形成,以及这些战略背后的隐含挑战和优势;第五部分则从商业生态系统理论的视角,尝试从拓展跨境电商生态系统边界、优化生态系统内部竞争、优化跨境电商企业价值主张和生态环境等三个方面,为中国跨境电商企业的可持续发展策略提供可行性建议。

关键词: 跨境电商海外战略; 商业生态系统; 跨境电商平台; TEMU

ABSTRACT

Cross-border e-commerce, as an emerging business model, has experienced rapid global development in recent years and has become a significant driver for China's economy. It has promoted the accelerated digitalization, networking, and intelligent transformation of the manufacturing industry, further driving the prosperity of the real economy and industry upgrading. This booming trend has attracted a large number of enterprises to enter the cross-border e-commerce field, intensifying industry competition. While the current cross-border e-commerce industry environment and ecosystem are relatively favorable, many enterprises still face new challenges and risks. For instance, since 2021, the e-commerce platform giant Amazon has banned a large number of Chinese stores, casting a shadow on the industry's future. Additionally, some cross-border e-commerce platform enterprises have encountered setbacks such as financial losses, closures, and restructuring. Therefore, how cross-border e-commerce enterprises can achieve good growth and development in the increasingly fierce global market has become an urgent problem to be solved.

As an important strategic layout of Pinduoduo in overseas markets, TEMU has achieved rapid and remarkable development since its launch in the United States in 2022. TEMU has not only become the main strategic fulcrum of Pinduoduo in overseas markets but has also emerged as another significant global cross-border e-commerce platform after Amazon and eBay. This study aims to select TEMU as a

case and comprehensively use literature analysis and case analysis to investigate the cross-border e-commerce enterprises taking TEMU as an example. The main content of this paper can be divided into five parts, the first part mainly deals with the definition of cross-border e-commerce, the current development trend and the research problems and significance of this paper. The second part mainly reviews the relevant literature and explains the main theoretical framework of the business ecosystem. The third part analyzes the current development of TEMU platform and its advantages. The fourth part comprehensively analyzes the formation of TEMU platform's overseas strategies, as well as the hidden challenges and advantages behind these strategies. The fifth part, from the perspective of business ecosystem, attempts to provide feasible suggestions for the sustainable development strategy of China's cross-border e-commerce enterprises from three aspects: the expansion of cross-border e-commerce ecosystem boundary, the optimization of competition within the ecosystem, the optimization of cross-border e-commerce enterprise value proposition and ecological environment.

Key words: cross-border e-commerce overseas strategy; Business Ecosystem; Cross-border e-commerce platform; TEMU

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Chapter 1 Introduction

1.1 Research background

1.1.1 Overview of the development of cross-border e-commerce in China

Cross-border e-commerce refers to a kind of international business activity in which transaction subjects belonging to different customs borders conclude transactions through e-commerce channels, make payments and settlements, and complete the transactions by delivering goods through cross-border logistics. In recent years, with the continuous innovation and development of global Internet information technology, as well as the change of traditional consumer concepts, the e-commerce industry has ushered in a rapid development stage, and the cross-border e-commerce industry has also ushered in the development opportunity¹. Cross-border e-commerce as an emerging industry has also become the object of attention of many capitals. The industry survey report released by AiMedia Consulting in 2021 shows that China's cross-border e-commerce market turnover grew 18.7% year-on-year to 10.8 trillion yuan in 2019. China's total cross-border e-commerce transactions accounted for 34% of China's total import and export trade, which has played a huge role in promoting the transformation and upgrading of the international trade model. According to the forecast data released by NetSense's E-commerce Research Centre, China's cross-border e-commerce market is expected to reach 17.9 trillion yuan in 2024, and by the end of the year, cross-border e-commerce transactions will account for more than 40% of China's total import and export trade. ¹With the rapid development of cross-border e-commerce industry in China, more and more enterprises, such as: Alibaba Global SmarTone, Dunhuang, Lanting Jisi and other high-quality international e-commerce platforms gradually emerged, cross-border e-commerce trade in the form of China's

¹ China Cross-border E-commerce Market Demand Forecast and Development Trend Forward-looking Report, 2022-2027, by China Business Industry Research Institute

import and export trade will occupy a more and more important position, becoming a new growth pole in foreign trade. With the popularity of the global Internet and the development of modern information technology, the international mainstream payment system and logistics and transportation services continue to improve, cross-border e-commerce enterprises not only eliminates many intermediate trading links, but also reduces the distance between buyers and sellers, to achieve the win-win situation of the best price and maximise the interests of enterprises. In the future, under the support of the e-commerce law and cross-border e-commerce and other series of policies, China's cross-border e-commerce industry will usher in more development opportunities.

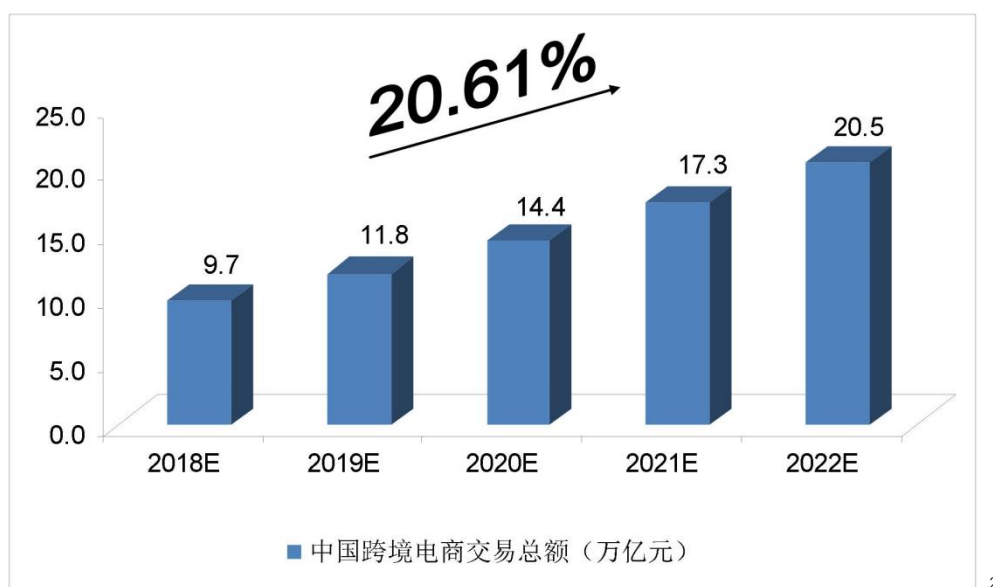


Figure 1-1 CIC's Measurement of China's Total Cross-Border E-Commerce Transactions, 2018-2022

The development of China's cross-border e-commerce has shown a rapid trend in recent years: according to the "China Cross-Border E-Commerce Market Data Report 2020", China's cross-border e-commerce market will reach 12.5 trillion yuan in 2020, a year-on-year increase of 19.04 per cent from 10.5 trillion yuan in 2019. Offline consumption has been suppressed by the epidemic, bringing global opportunities for

² Source: CIC Industrial Research Centre

online consumption. Meanwhile, the support of national policies has facilitated the rapid development of cross-border e-commerce.

On the domestic front, from the pilot of cross-border e-commerce services to the policy documents issued one after another by multiple departments and organisations, the management and service level of the nodes involved in cross-border e-commerce, such as customs clearance, taxation, foreign exchange and cross-border payment, has been continuously improved. Secondly, the development of cross-border e-commerce nationwide is booming. Cross-border exports have basically been liberalised, cross-border e-commerce parks have been established, and various local governments have introduced encouraging policies; the environment and industrial chain of cross-border e-commerce development are constantly improving, and cross-border e-commerce is becoming an important carrier of the national strategy. In terms of policy, the continuous release of various favourable news indicates that the e-commerce environment continues to improve. Finally, through the development of cross-border e-commerce can be found, it has gradually revealed the bearing of national strategy. At present, China is promoting the construction of "Internet Plus" and "Belt and Road", and cross-border e-commerce plays an important role in it with its unique industry form.

In the external environment, although the sudden outbreak of the New Crown epidemic has disrupted everyone's rhythm of life, it has also brought explosive growth to the overseas local e-commerce market. Under the impact of the epidemic, overseas consumers have become more enthusiastic about online shopping, and are more accustomed to clicking the "buy" button on their mobile phones to purchase their daily necessities. These shifts in consumer behaviour will have a profound impact on the future shape and pattern of the retail industry. Export e-commerce: Under the influence of the epidemic, the cross-border e-commerce industry has undergone significant changes in all dimensions and the whole industry chain. This includes the birth of: new players, new ways of playing, new channels, new flows, new

technologies, new markets and new services. A large number of overseas traditional brands and retailers have had to accelerate the pace of transfer to e-commerce. Under this huge impact, Chinese cross-border merchants have shown an extremely pragmatic and sensitive side, and have been able to respond quickly to the uncertain supply chain platform policy, logistics and customs issues. Many industries and merchants have been hit hard by the New Crown epidemic and need to do their best to ensure their survival and development: at the same time, many companies have benefited from it, especially those merchants who have laid out their overseas warehouses and independent sites in advance, and their cross-border business has even achieved a 3 to 5 times growth. Cross-border merchants with independent stations have also gained widespread attention in the market for their business flexibility and operational advantages.

However, although the current cross-border e-commerce industry environment and ecosystem is relatively good, there are still many cross-border e-commerce enterprises are losing money or closing down, delisting, bankruptcy, closure, major restructuring, founder of the road, the platform shut down or stop, etc., many of which are industry giants. 2021 e-commerce platform giant Amazon large number of blocked the Chinese big sellers shop also for the future of the industry has laid a shadow. The domestic consumer market is in the doldrums and facing a new round of competition and reshuffling, and factors such as brutal capital intervention, low brand awareness, and the desire to make quick money without long-term development are all deeply affecting the strategic direction of cross-border e-commerce enterprises. Based on the theory of business ecosystem, this paper will conduct a number of cross-border e-commerce enterprises' case studies, and try to provide suggestions for the sustainable development strategy of export-oriented cross-border e-commerce enterprises, and guide the enterprises to adjust their strategies in accordance with the ecological environment and their own changes, so as to make the enterprises maintain a high degree of resilience and a high degree of adaptive and evolutionary capacity.

1.1.2 Definition and classification of cross-border e-commerce

Cross-border e-commerce is an abbreviation of cross-border e-commerce, and there is a distinction between the broad sense and the narrow sense. Broad cross-border e-commerce refers to the commercial activities of different transaction subjects engaged in cross-border trade through modern electronic information technology and means of communication. Cross-border e-commerce in the narrow sense refers to a new type of commodity trading activities in which different trading subjects, through electronic modern electronic information technology and communication means, reach international transactions and complete cross-border payment and settlement, handle cross-border logistics and transport and a series of other activities. According to the definition of the World Customs Organisation, cross-border e-commerce is mainly characterised by the following features: online ordering, online selling, online communication, online payment, cross-border transaction and delivery, and the actual goods being delivered for shipment to the consumers or purchasers. Cross-border e-commerce is a new mode of international trade development in the Internet plus, integrating the characteristics of both, closely integrating information flow, logistics and capital flow through the network and information technology platform, and at the same time, it has the characteristics of traditional international trade transactions with many links and high risks, which generally involves multiple links such as customs, taxation, settlement and logistics. The cross-border e-commerce industry chain includes: upstream production suppliers, midstream cross-border e-commerce platforms and downstream support service providers and sellers, covering products, technology, transactions, payment, logistics, warehousing and other aspects, gradually forming a three-dimensional ecosystem. Suppliers include: manufacturers, foreign trade enterprises, e-commerce sellers. Buyers include: traders, purchasers and individual consumers. Cross-border e-commerce platforms and service providers include: multinational third-party platforms, customs clearance, tax rebates, foreign

exchange clearance, freight forwarders, shipping, cross-border express, parcels, credit cards, information technology, human resources, translators and other service providers, payment platforms, financial institutions, and insurance companies. In addition, customs, commerce, taxation and foreign exchange departments are also important parts of the cross-border e-commerce ecosystem.

According to the type of transaction, cross-border e-commerce mode can be divided into: B2B, B2C, C2C and other basic modes. B2B (Business-to-Business) is a business model of exchanging and transmitting data and information and carrying out trading activities between enterprises and enterprises through a dedicated network or the Internet. Representative enterprises include: Alibaba International, Made-in-China, Global Sources, Dunhuang.com, DaLong.com, etc. B2C (Business-to-Customer) is a business activity mode in which enterprises in different borders sell products and services directly to consumers online and reach transactions. Representative enterprises include Amazon, Alibaba Express, Jingdong Global Shopping, SHEIN platform, etc. C2C (Consumer to Customer) is a business model of online purchase and sale of products and services between individual sellers and individual buyers at different border crossings. Representative companies include: eBay, Wish, Little Red Book, etc.

According to the division of the operating body, the cross-border e-commerce model can be divided into: platform-type, self-supporting, hybrid (platform + self-supporting). Platform-type mode, that is, by the third-party open platform through the online mall, integration of logistics, payment, operation and other service resources to attract domestic and foreign merchants stationed in the mode of operation. Representative enterprises are: Amazon, Dunhuang, Sell-through, eBay and so on. Self-operated cross-border e-commerce platform refers to the mode in which e-commerce enterprises earn profits by building platforms and integrating supply chain resources to sell products and services directly through online channels. Mainly include: Lanting, Koala, Globalbuy, Little Red Book and so on.

According to the flow of goods, it can be divided into export cross-border e-commerce and import cross-border e-commerce. Export cross-border e-commerce refers to the enterprises through e-commerce to display goods, enter into transactions and complete the goods or services delivered to overseas importers of trade activities, is the mainstream of cross-border e-commerce in China. Import cross-border e-commerce mainly refers to the overseas goods through e-commerce sales to China's importing body of the activities, at present, mainly for the import platform before the overseas procurement of goods and transported to the domestic bonded warehouse, through the platform to facilitate the transaction, and then sent to the hands of domestic consumers.

1.1.3 Cross-border e-commerce development

(1) Characteristics of cross-border e-commerce development in China

Firstly, relative to developed countries, China started late. Accompanied by the development of Internet technology and the continuous advancement of the globalised economy, e-commerce has gained significant development in many countries around the world, and at the same time effectively driven the development of cross-border e-commerce, which at the present stage has gradually become an important part of the development of China's foreign trade. The development of cross-border e-commerce in China relative to other developed countries, although it has the characteristics of a late start, but the overall development is extremely rapid. At the same time, it also brings the chaos of wild growth, and the rapid expansion of Temu and SHEIN in the European and American markets in this case has also led to many risks.

Second, the global complexity of the supply chain. Due to the continuous development of Internet information technology, domestic enterprises are no longer affected by regional spatial restrictions, and their industrial products and services have been gradually moving towards the world to carry out multi-field, multi-faceted, multi-level and omni-directional trade activities on a global scale. The Internet

enables foreign consumers to buy and sell overseas commodities with the help of the Internet, and consumers hope that they can meet their own shopping needs more quickly and conveniently, and reduce the cost of customs fees. Cross-border e-commerce will be China's enterprises as well as consumers in other countries enterprises and consumers in close contact with each other, so that the transaction process between them is more simple, and the degree of information sharing is also higher. However, China's vast geographical area, although the supplier is highly concentrated, but also has great pressure on the logistics and transport time. And Europe and the United States in recent years from the policy and legal suppression and restrictions on Chinese enterprises, have increased the risk of supply chain.

(2) Impact of the development of cross-border e-commerce in China

Cross-border e-commerce includes both cross-border imports and cross-border exports; the impact of cross-border e-commerce has import and export trade differentials. Cross-border imports can increase the domestic commodity category, and cross-border exports can make Chinese manufacturing out of the country. Cross-border exports are relatively helpful to China's economic development, the country is now also more supportive of this piece, the emergence of cross-border e-commerce platforms will be trading offline to online, more convenient and more visual. 2013 August the State Council, the Ministry of Commerce, "on the implementation of support for the implementation of cross-border e-commerce retail exports of the relevant policies," the development of cross-border e-commerce for the expansion of the international market share, expanding the marketing network of foreign trade, Transforming the mode of foreign trade development is of great importance and far-reaching significance. To accelerate the development of cross-border e-commerce in China and to support cross-border e-commerce retail export, the General Administration of Customs (GAC) "GAC Announcement No. 12 of 2014 (Announcement on the Addition of Customs Supervision Mode Codes)" in January 2014 added the Customs Supervision Code of 9610, which is fully known as "cross-

border trade and e-commerce". E-commerce" applies to e-commerce retail import and export commodities that are traded by individuals or e-commerce enterprises in China through e-commerce trading platforms and are subject to customs clearance procedures in the mode of "list checking and releasing and aggregate declaration". Several Opinions on Supporting Stable Growth of Foreign Trade" supports the export of products with intellectual property rights, brands, marketing networks, high technological content, high value-added and high efficiency. Upgrading processing trade, revising the catalogue of prohibited and restricted categories of commodities for processing trade, improving processing trade policies, and innovating processing trade modes. June 2015 State Council "Guiding Opinions of the General Office of the State Council on Promoting the Healthy and Rapid Development of Cross-border E-commerce" Supporting domestic enterprises to better utilize e-commerce to conduct foreign trade. Accelerate the establishment of a policy system and regulatory system adapted to the characteristics of cross-border e-commerce, and improve the level of facilitation in all aspects of trade. Encourage inter-enterprise trade to realise full online transactions as soon as possible, and continuously expand the scope of tradable commodities. May 2016 State Council's Several Opinions of the State Council on Promoting the Return of Foreign Trade to Stability and Improvement to Carry out and expand the pilot projects of cross-border e-commerce, the market procurement trade mode and the comprehensive foreign trade service enterprises. Accelerate the establishment of a management model that is compatible with the development of comprehensive foreign trade service enterprises, and grasp the improvement of the tax refund (exemption) classification and management methods for comprehensive foreign trade service enterprises. October 2017 Ministry of Commerce, the National Development and Reform Commission, and other "letter on the replication and popularisation of mature experience and practices formed in the exploration of comprehensive cross-border e-commerce pilot zones" deepen the "release of management and service" reform, strengthen system, management and service

innovation, actively explore new experiences, and promote the healthy and rapid development of cross-border e-commerce. March 2018 Ministry of Commerce's Notice on Doing a Good Job in E-commerce Statistics Strengthening the implementation of the e-commerce statistical system, establishing a mechanism for contacting enterprises; optimising the structure of the sample, and grasping the key enterprises; improving the quality of the data, and ensuring the timeliness of the work. August 2018 E-Commerce Law of the People's Republic of China by the Standing Committee of the National People's Congress The E-Commerce Law of the People's Republic of China is the first comprehensive law in the field of e-commerce in China. Among other things, the E-Commerce Law adds Article 26, "E-commerce operators engaging in cross-border e-commerce shall comply with the laws and administrative regulations on import and export supervision and management as well as the relevant state regulations", which brings cross-border e-commerce operators under the jurisdiction of this law, and also stipulates that, while being subject to this law, they shall also comply with other laws, regulations and provisions. The September 2018 Circular of the Ministry of Finance, the State Administration of Taxation and others on Taxation Policies for Retail Exports of Goods in Comprehensive Pilot Zones for Cross-Border E-Commerce (CPA) implemented on a trial basis a value-added tax (VAT) and consumption tax (CST) exemption policy for e-commerce export enterprises in comprehensive pilot zones exporting goods for which they have not obtained valid proof of purchase, while at the same time meeting the relevant conditions. E-commerce export enterprises are registered in the comprehensive pilot zone and register the date of export, the name of the goods, the unit of measurement, the quantity, the unit price and the amount on the online comprehensive service platform for cross-border e-commerce at the place of registration. The December 2018 General Administration of Customs Announcement on the Supervision and Regulation of Cross-border E-commerce Retail Import and Export Goods stipulates the management of cross-border e-commerce enterprises, the management of retail

import and export goods for customs clearance, and other matters. It provides a detailed legal basis for the supervision of cross-border e-commerce retail exports and promotes the healthy and orderly development of cross-border e-commerce. October 2019 SAT's "Announcement on Issues Relating to the Approved Collection of Enterprise Income Tax for Retail Exports in the Comprehensive Pilot Zone for Cross-border E-commerce" provides for the approved collection of enterprise income tax for cross-border e-commerce enterprises in the comprehensive pilot zone in terms of the scope of the approved collection, the conditions, the manner, the procedure, and preferential policies. In May 2020, the State Council's "Reply of the State Council on Agreeing to Establish Comprehensive Pilot Zones for Cross-border E-commerce in 46 Cities and Regions including Xiong'an New Area" established comprehensive pilot zones for cross-border e-commerce in 46 cities and regions, including Xiong'an New Area, Datong City, Manchuria City and Yingkou City. May 2020 State Administration of Foreign Exchange "Notice of the State Administration of Foreign Exchange on Supporting the Development of New Business Forms in Trade" promotes the quality and efficiency of foreign trade, accelerates the development of new business forms in trade such as cross-border e-commerce, and improves the facilitation level of foreign exchange receipts and payments in trade. August 2020 State Council "Opinions of the General Office of the State Council on Further Improving the Work of Stabilising Foreign Trade and Stabilising Foreign Investments" does a good job in the work of the "Six Stabilising In August 2020, the State Council's "Opinions of the General Office of the State Council on Further Improving the Work of Stabilising Foreign Trade and Foreign Investment" did a good job of "six stabilisation", implemented the task of "six guarantees", further strengthened the work of stabilisation of foreign trade and foreign investment, stabilised the main body of foreign trade, and stabilised the industrial chain supply chain. Actively promote the construction of comprehensive pilot zones for cross-border e-commerce, continuously explore good experiences and practices, and study the establishment of a comprehensive pilot zone assessment and evaluation

mechanism. Support the construction of a number of overseas warehouses.2021 July State Council "Opinions of the General Office of the State Council on Accelerating the Development of New Formats and Modes of Foreign Trade" Improve cross-border e-commerce development support policies. Apply cross-border e-commerce business-to-business (B2B) direct export and cross-border e-commerce export overseas warehouse regulatory models nationwide, and improve supporting policies. Facilitate the management of cross-border e-commerce import and export returns. Guiding enterprises to make good use of the VAT and consumption tax exemption policies for cross-border e-commerce retail exports and the approved income tax collection methods. Expanding the pilot scope of comprehensive cross-border e-commerce pilot zones.2021 September 2021 The Ministry of Commerce, the Central Internet Information Office, and the National Development and Reform Commission's "14th Five-Year Plan for the Development of E-Commerce" advocated openness and win-win solutions, and supported the development of cross-border e-commerce and overseas warehouses.2021 November 2021 The Ministry of Commerce's "14th Five-Year Plan In November 2021, the Ministry of Commerce's "14th Five-Year Plan for High-Quality Development of Foreign Trade" clarified the guiding ideology, main objectives and work priorities of foreign trade development during the "14th Five-Year Plan" period, guiding the behaviour of market players, actively expanding imports and optimizing exports, promoting high-quality development of foreign trade, serving to build a new development pattern, and opening up a new win-win situation for cooperation and cooperation. Situation. It is proposed to support the accelerated development of new trade forms, including promoting the sustained and healthy development of cross-border e-commerce, advancing the development of market procurement trade mode, playing a leading role in comprehensive foreign trade service enterprises, accelerating the development of overseas warehouses, promoting the development of bonded maintenance and supporting the development of high-shore trade, etc. In January 2022, the National Development and Reform

Commission's "Fourteenth Five-Year Plan" for the development of modern circulation system was adopted. Modern Circulation System Construction Plan" to develop new forms of foreign trade. Promote the diversified development of cross-border trade and cultivate new dynamics of foreign trade. Deeply promote the construction of comprehensive pilot zones for cross-border e-commerce, and encourage cross-border e-commerce platforms to improve their functions. Guide enterprises to optimise the layout of overseas warehouses, improve the functions of overseas warehouses, and enhance the efficiency of cross-border circulation of commodities.2022 March 2022 The State Council's "Government Work Report 2022" accelerates the development of new business forms and new modes of foreign trade and gives full play to cross-border e-commerce to support the construction of a number of overseas warehouses and actively expand the import of high-quality products and services. Innovative development of trade services and digital trade to promote the implementation of the negative list for cross-border trade in services. Deepen the reform of customs clearance facilitation and accelerate the construction of the international logistics system to help foreign trade reduce costs and improve efficiency.2022 May The State Council's "Opinions of the General Office of the State Council on Promoting the Maintenance of Stability and Improvement of Quality in Foreign Trade" promotes the accelerated development of cross-border e-commerce to improve quality and increase efficiency. For the cross-border e-commerce export overseas warehouse regulatory model, increase the policy propaganda, for the realisation of sales of goods, guide enterprises to make full use of the existing export tax rebate policy, timely declaration for tax refund. As soon as possible to introduce policies to facilitate cross-border e-commerce export return and exchange of goods, and carry out pilot projects in due course. For the cross-border e-commerce industry characteristics, strengthen policy guidance to support eligible cross-border e-commerce-related enterprises to declare high-tech enterprises. 2022 September Ministry of Commerce "to support the stable development of foreign trade a number of policies and measures to support the

development of cross-border e-commerce overseas warehouses introduced to further support the development of policy measures.

(3) Trends in cross-border e-commerce

First, the integration of online and offline. At this stage, consumers for "see and touch" form of consumption shows corresponding dissatisfaction, related cross-border e-commerce offline experience shop has gradually by the cross-border product display, transformed into the online can buy global synchronisation and the same price of imported goods. The integration of offline and online is not a unilateral demise, but a win-win situation, online and offline complementary business, the value and role achieved is far greater than any model unilaterally brought about by the value. Traditional offline business can take advantage of modern information technology to achieve online ordering, replenishment, offline trading mode for the corresponding supplementary mode of operation. The use of aspects of the product information released on the network of related products, consumers themselves through the network aspects of observation, selection, ordering and payment of goods, in the corresponding offline transaction of the corresponding items. In this process, the consumer just through the online payment of relevant information, can be in the vicinity of the online trading co-operation shop for the effect of goods trading. Such a model in operation, on the one hand, can increase exposure for the offline sales shop to play the role of publicity to enhance the overall turnover and revenue, on the contrary, for online sales, do not need to bear the pressure of goods reserves, reduce operating costs and risks; on the other hand, can save the response to the cost of logistics and transport to reduce the consumer's unnecessary expenditures, so that the price of the product to further decline; at the same time the use of logistics Transport reduction, can play a role in reducing the effect of pollution.

Second, the development and intelligence of the logistics model. The cost and efficiency of logistics is one of the important factors that directly affect the shopping experience of consumers in cross-border e-commerce. At this stage, there are five

main forms of logistics: domestic express mode, postal parcel mode, special line logistics mode, international express mode, and overseas warehousing mode. As one of the recently emerged cross-border e-commerce logistics mode of overseas warehousing mode, compared with the traditional logistics mode, in the transport time is more rapid, and at the same time can be more timely for consumers to provide goods return service. Comprehensive factors, it is not difficult to find the advantages and disadvantages of the logistics model at this stage, in the development of cross-border e-commerce logistics model, the level of intelligence is in constant improvement. For example: the use of network big data, the network in the big data statistics has the significance of the times, consumers in the use of smart phones to carry out the corresponding transactions, the consumption traces left on the network, can be used as a source of information analysis. Consumer information and data, after the corresponding summary and analysis, can fully grasp the consumer demand, as well as the location of the consumer population distribution and consumption cycle, to fully achieve the development of logistics refinement. On the other hand, the continuous development of intelligent robot technology, such as handling, sorting, distribution and other aspects of the work, is gradually realised for the replacement of artificial. The development of the above logistics model and intelligent process, and constantly for consumers and enterprises to reduce logistics costs, improve the efficiency of transport and distribution.

Third, the scale of personalised customisation. Consumers' pursuit of personalisation and quality of consumption psychology has led to the gradual formation of the corresponding scale of personalised customisation, for example, clothing, beauty, household products, and so on. At this stage, some cross-border e-commerce enterprises have already standardised the production of internal components of their products to meet the demands of consumers with the help of different forms of combinations. In the future, along with the 3D printing technology, artificial intelligence level and the continuous improvement of virtualisation

technology, the cost of personalised customisation by merchants will continue to reduce, and consumers can also spend less to complete their own personalised customisation requirements.

With the development of the times and the continuous improvement of Internet technology, e-commerce has been developed accordingly in many countries around the world, and at the same time, cross-border business and trade activities have been greatly driven. The development of cross-border e-commerce in China has its own characteristics, and the whole shows a vigorous vitality, which has a positive impact on the development of China's economy and people's life. In the future, with the deepening of the globalisation process and the continuous improvement of the technology level, we believe that China's e-commerce will create better results.

1.2 Research questions and significance

1.2.1 Research questions

Although the whole industry shows a trend of rapid growth, the competition in the E-commerce industry is pretty cruel. How can TEMU stand out from the crowd?

Though shown a trend of rapid growth, the trade tensions between China and the United States cannot be ignored. What are the new risks and challenges faced by TEMU?

From the perspective of Business Ecosystem Theory, how can TEMU devise possible strategies to deal with new risks and challenges?

1.2.2 Significance

On the one hand, the proposed research holds significant theoretical implications within the domain of cross-border e-commerce studies. By employing a value structure perspective and Business Ecosystem Theory, this paper delves into the intricate dynamics of cross-border e-commerce enterprises. This theoretical

framework offers a nuanced understanding of how enterprises navigate competitive landscapes, sustain advantages, and foster ecosystem interactions. Through the analysis of value propositions and manifestations within business ecosystems, the research contributes to the development of theoretical models that elucidate the mechanisms driving sustainable development strategies in the context of cross-border e-commerce.

Furthermore, the integration of synergism theory and evolutionary game theory enhances the theoretical depth of the study. These theoretical lenses provide analytical tools to explore the complex interactions among stakeholders, the evolution of competitive populations, and the dynamics of profit models and ecological sustainability within cross-border e-commerce ecosystems. By synthesising insights from diverse theoretical perspectives, the research advances our understanding of the multifaceted challenges and opportunities facing cross-border e-commerce enterprises in the contemporary global marketplace.

The practical significance of this research lies in its potential to offer actionable insights for the sustainable development of China's cross-border e-commerce enterprises. Through in-depth case studies and analysis, the research aims to provide practical recommendations tailored to the specific needs and contexts of export-oriented cross-border e-commerce enterprises. These recommendations encompass expanding ecosystem boundaries, optimising intra-ecosystem competition, and enhancing enterprise value propositions and ecological environments. By leveraging insights derived from corporate culture analysis and value proposition examination, cross-border e-commerce enterprises can strategically position themselves for long-term success amidst dynamic market conditions.

1.3 Research purpose and methodology

1.3.1 Research purpose

The proposed research aims to investigate strategies for TEMU, a leading e-commerce platform, to differentiate itself and stand out in the highly competitive e-commerce industry, while also identifying and addressing the new risks and challenges arising from the trade tensions between China and the United States. Drawing on the Business Ecosystem Theory, the study will explore potential strategic approaches TEMU can utilize to navigate the evolving competitive landscape and mitigate the impact of the geopolitical uncertainties. The purpose of the study in this paper can be summarized as follows:

Firstly, the e-commerce industry has experienced a period of rapid growth, with consumers increasingly shifting their purchasing behaviors toward online platforms. This trend has led to a highly competitive market, where e-commerce players are vying for market share and customer loyalty. TEMU, as a prominent player in this dynamic environment, faces the challenge of differentiating itself and standing out from the crowd. Understanding the factors that contribute to TEMU's competitive advantage and the strategies it can employ to enhance its unique positioning is crucial for its long-term sustainability and growth. The research will delve into the specific competitive landscape of the e-commerce industry, analyzing TEMU's current market position, its product and service offerings, and the strategies it has implemented to date. By identifying the key elements that have enabled TEMU to thrive thus far, the study will provide insights into how the company can further strengthen its competitive edge and solidify its position as a leading e-commerce platform.

Secondly, alongside the competitive dynamics within the e-commerce industry, the research will also examine the impact of the trade tensions between China and the United States on TEMU's operations and growth prospects. The escalating trade disputes between the two economic superpowers have introduced a new layer of

uncertainty and risk for businesses operating in the global market. This paper will investigate the specific challenges and risks faced by TEMU as a Chinese-based e-commerce company navigating the turbulent trade landscape. This may include, but is not limited to, the potential tariffs, regulatory changes, supply chain disruptions, and shifts in consumer behavior that TEMU may encounter. By analyzing the impact of these geopolitical factors on TEMU's operations, the study will provide a comprehensive understanding of the new risks and challenges the company must address to ensure its long-term viability and success.

Thirdly, the Business Ecosystem Theory provides a valuable lens through which to analyze TEMU's position and the strategies it can employ to navigate the evolving competitive landscape and the trade tensions. The research will explore how TEMU can leverage its position within the broader e-commerce ecosystem, including its relationships with suppliers, partners, competitors, and even regulators, to enhance its resilience and adaptability.

1.3.2 Research methodology

In order to analyze a series of data in the process of strategic selection of TEMU, which is a question that has not been covered or answered by existing literature, the method of case study is adopted. By examining how Temu occupies its niche, differentiates its strategy, interacts competitively, and coexists with its competitors, it is possible to gain a better understanding of its competitive dynamics, market positioning, and coexistence strategies within the e-commerce market.

Chapter 2 Literature Review and Theoretical Framework

2.1 Literature Review

2.1.1 Overseas Research

Numerous scholars at home and abroad have orientated their research in the field of business towards the study of competition in enterprises by applying the ecological niche theory, inspired by the biological ecological niche field. The pioneering work of ecological theory is organisational ecologist

Hannan M.T and John Freeman's paper 'Organisational Population Ecology' ecological niche This paper applies the concept of biological ecological niches and research findings and methods to the study of business. The population ecology model focuses on the creation, development and decline of a business or organisational community, extending ecological theory to non-living areas and emphasising the integration of the organisational community with the external business environment in which it operates. Since then, the study of business ecosystems has begun to emerge, and ecological niche as an important part of ecology has also been valued in business management. The concept of enterprise niche was explicitly proposed in 1916 by Suan, Tan Se, a Singaporean scholar, and she used the theory of ecology in the management of enterprises, which made the study of enterprise ecological niche with practical significance. From the concept of enterprise ecological niche, foreign scholars mainly hold two views: one is defined from the perspective of enterprise population as represented by Hannan M.T and John Freeman mentioned above, and the other is described from the perspective of individual enterprise as represented by Baum et al. These two perspectives have a large difference in research purpose and research object, which can be understood as one is the enterprise ecological niche from the macro perspective and the other is the enterprise ecological niche from the

micro perspective. Domestic researchers also mainly analyse enterprise ecological niche from the above two perspectives.

2.1.2 Domestic Research

Domestic scholars who give the definition of enterprise ecological niche from the perspective of population ecological niche include Ge Zhenzhong, Liang Jiahua (2004), they believe that the natural resources utilised by the enterprise in the process of growth and the relative positional relationship between the enterprises constitutes the spatial location of the enterprise, and each enterprise can only obtain a certain part of the resources for a period of time, and cannot have all of the best resources. Xu Fang and Li Jianhua (2005), they believe that the ecological position of the enterprise is the survival space obtained by the enterprise in the consumer market, and the position of the enterprise in the market is determined by the ecological position of the enterprise ^[2] The scholars who give the definition of the ecological position of the enterprise from the point of view of the ecological position of a separate individual include Qian Hui and Zhang Daliang (2005), the

The two of them analysed the performance of enterprise development based on enterprise ecological niche theory by applying enterprise ecological niche theory and enterprise growth theory, and gave solutions ^[3]. Yan An and Da Qingli (2005), by analysing and comparing the differences and similarities between enterprise ecological niche and biological ecological niche, combined with the characteristics of the enterprise, and summarized how to use enterprise ecological niche ^[4]. Li Dongliang (2008), based on the ecological niche theory, viewed the enterprise as a kind of organism of the enterprise ecosystem, and explored four strategies for enterprise growth ^[5].

The research results of domestic scholars on the application of business ecosystem in the field of cross-border e-commerce in recent years are as follows: Guo Hailing, Ma Hongyu, and Zhu Jiaqi (2021) constructed a cross-border e-commerce

information service ecosystem conceptual model on the basis of an in-depth analysis of cross-border e-commerce information service ecosystem constituents as well as interactions between the constituent elements, which can provide theoretical basis for further improving the quality of cross-border e-commerce information service organisations in terms of information service quality and efficiency provides theoretical basis ^[6]. Tongyan Fu and Huiying Du (2023) proposed the development trend of cross-border e-commerce ecosystem at home and abroad from the research of cross-border e-commerce literature in the past eight years by using CiteSpace scientometrics software, combined with the results of the analysis of time zone view. Zhang Buyuan (2023) constructed an ecosystem of cross-border e-commerce from the perspective of value co-creation theory. This ecosystem is divided into a total of four levels, the kernel layer, the directly related layer, the indirectly related layer, and the external environment layer. The dynamic perspective analyses the evolution of the cross-border e-commerce ecosystem and the value co-creation connotation embodied in the evolution process. Chen Zhongming (2023) discusses the construction of the business ecosystem in Guangdong Province, an important region for cross-border e-commerce, from the perspective of digital trade, and argues that the business ecosystem of cross-border e-commerce should be cultivated by constructing the industrial ecosystem in a five-step path.

In summary, it can be seen from the above analysis, our scholars in cross-border e-commerce business ecosystem research results, although more abundant, especially in recent years, the field of research continues to expand, the object of research to academic theory to explore the main, for the cross-border e-commerce platform from the perspective of the business ecosystem of the business case study of enterprises has not yet a relatively systematic and adequate discussion of the research. Based on this text, we will take Temu and SHEIN platforms as cases, and from the Business Ecosystem Theory, we will try to provide suggestions for export-oriented cross-border e-commerce enterprises' sustained development strategies, and guide them to adjust

their strategies according to the ecological environment and their own changes, so as to make them maintain a high degree of resilience and a high degree of adaptive and evolutionary capacity.

2.2 Business Ecosystem Theory

Business Ecosystem Theory posits that organizations, like species in a biological ecosystem, occupy specific ecological niches within markets. A niche represents a distinct segment or position within a market where an organization can thrive and fulfill unique customer needs. Organizations seek to identify and exploit niches that offer them a competitive advantage and protect them from direct competition. A business ecosystem is a community of interest based on inter-organisational interactions formed by many sub-companies to adapt to a competitive market environment. James Moore³, the father of Business Ecosystem Theory, pointed out that with the development of the economy, the competition among enterprises will no longer only be a comparison of traditional business models, but different companies, and even different industries, will have different impacts, and more companies will choose to co-operate and win-win. At the same time, the external environment of the enterprise will also affect the enterprise to a certain extent, and the influence of various factors will jointly form a business ecosystem of the enterprise. According to James Moore's definition, a business ecosystem in the narrow sense refers to the cluster of enterprises around the upstream and downstream of the enterprise, as well as the investment and financing, etc. In a broader sense, a business ecosystem refers to an enterprise and its external environment as a whole. This paper takes the business ecosystem in the narrow sense as the basis of research.

The business ecosystem model is a way to build a business ecosystem to obtain the benefits of investment or cooperation, and to combine the business model, profit

³ 1996 James F. Moore, The Demise of Competition - Leadership and Strategy in the Age of Business Ecosystems

model and operation model with actual operation. At present, scholars at home and abroad do not have a clear conclusion on the business ecosystem model, but companies such as Intel, Qualcomm, Apple, Google and Disney, as well as thousands of participants in their respective business ecosystems, are collectively demonstrating the structure of the business ecosystem model - a distributed and enhanced structure, a system architecture with both absolute and relative comparative advantages - to enterprises. The Business Ecosystem Model is a distributed and augmented architecture, a system architecture with both absolute and relative comparative advantages.⁴The business ecosystem model forms multiple product operators and functional units within its own and extended value domains, which in turn have their own components and resources, and many of these product operators and functional units form the structure of the business ecosystem model through information and logistics networks.

Michael E. Porter, the father of competitive strategy, believes that enterprises in different industries must choose one of concentration strategy, cost leadership strategy and differentiation strategy as their corporate strategy. Moore (1993) was the first foreign researcher to propose the definition of business ecosystems, which breaks the limitations of the competitive strategy based on the division of industries in the past, that is to say, business ecosystems as a new business model no longer believes that "the process of economic operation is to get rid of the weak". That is to say, business ecosystem as a new business model, no longer adhere to the "process of economic operation is to get rid of the weak", enterprises can be developed for the common interests of the relationship. Since then, business ecosystem has been gradually applied to the actual work of companies. After the collision of practice and theory, many scholars have enriched and improved the "business ecosystem" after Moore, Steve Jobs proposed in August 1997 that Apple was in an ecosystem that both assisted

⁴ Si Erxun Distributed Business Ecosystem Strategy: New Logic of Digital Business and New Strategy for Enterprise Digital Transformation Tsinghua University Press 2023

and needed the assistance of others, and thus started the cooperation between Apple and Microsoft. That is to say, once the companies in the ecosystem destroy the friendly and co-operative relationship, it will be unfavourable to anyone. Marco Iansiti et al. (2004) investigated the large enterprises such as Microsoft and Wal-Mart, and used the empirical method to prove once again that each company in the business ecosystem shares the fate of the whole system. And based on actual cases of business ecosystems of companies such as Intel, Microsoft, Apple, Google and Disney, they concluded that the structure of the business ecosystem model is a distributed augmentation structure, which is a system architecture with both absolute and relative comparative advantages.

Foreign researchers generally agree that the collaboration of companies used in the business ecosystem can create features such as economies of scale and complementary mechanisms, which have the effect of significantly reducing the company's innovation and transaction costs. Generally speaking, many branch firms are self-centred and aim to adapt to the competitive market environment, forming a community of interest which, in a sense, is better able to cater to the needs of customers.

Li Dong (2008) classified the developing business ecosystem into three dimensions: attraction, entry and growth, and conducted an empirical study on several major domestic and foreign enterprises as research objects. By analysing the three dimensions, the business ecosystem was classified into vast grassland, cluster forest and two new forest types of business ecosystem. Wu Building Materials (2017) proposed that the evolution and development of business ecosystems is driven by the "law of aggregation", which is formed by the competition and collaboration between various subsystems within the system. Xia Qinghua (2018), through the comparative analysis of LeTV and Xiaomi, concluded that non-core enterprises take core competitiveness, innovation ability, and the presence of synergy into account when choosing business ecosystems, and choose the backbone enterprises on which they

rely. Ning Lianju et al. (2020) analysed the construction of enterprise business ecosystems from the perspective of transaction costs, thus effectively solving the plague of information asymmetry between enterprises. He pointed out that the features of embedded resources, network effects, symbiosis, and co-evolution in enterprise business ecosystems are pivotal in solving the problems of asymmetry, multi-level decision-making, and trust. Tao Rui and Zeng Ping (2021) put forward the business ecosystem model of Xiaomi's non-controlling investment platform, and the business model of Xiaomi's intelligent ecosystem is characterised by the construction of the business ecosystem of "intelligent hardware + new retail business + Internet services" with the MIUI system as the core. This means that Xiaomi Group has formed a closed-loop ecosystem from product development to sales to after-sales and back to development.

As successful leaders in the fierce competition of international cross-border e-commerce, the indicators of brand awareness, sales, and market share prove that the Temu and SHEIN platforms have achieved great commercial success. However, as similar competitors, their business models are quite different, especially in the construction of business ecosystems such as supply chain strategies, which show different strategic directions. This paper will focus on comparing the same industry environment challenges, profitability risks and different strategies adopted for future sustainable development and cross-border e-commerce platform ecosystem optimisation in the two cases for analysis.

Intrapopulation relationships refer to the interrelationships that exist between individuals within a population of organisms. These individuals compete and co-operate with each other. Intra-population relationships in cross-border e-commerce ecosystems refer to the relationships between individuals operating similar products or with the same model. They are characterised by intraspecific collaboration and intraspecific struggle.

2.2.1 Intraspecies collaboration

Intraspecific collaboration is the behaviour of organisms that divide and collaborate with each other in order to resist external aggression and thus maintain survival. For example, when geese migrate in autumn, in order to have enough energy to reach their destination, they collaborate with each other to form a formation and create greater momentum. In cross-border e-commerce ecosystems, intraspecies collaboration is more of an internal division of labour. The fundamental reason affecting intraspecies collaboration is to share more resources of resources, thus both parties profit. In cross-border e-commerce transactions, according to the market response and demand, cross-border e-commerce participating entities collaborate with each other or with competitors through various departments, so as to satisfy consumer demand and improve consumer experience. On the other hand intraspecies collaboration is manifested in the mutual co-operation between upstream and downstream enterprises of the supply chain in the key population. Upstream and downstream enterprises collaborate with each other to jointly produce the same kind of goods, thus optimising the allocation of resources, reducing production costs and improving enterprise competitiveness.

2.2.2 Intraspecific competition

The behaviour of individuals of the same species who fight and kill each other over resources and space is called intraspecific competition. In intraspecific competition, the weak will be eliminated. This is harmful to the individuals but beneficial to the population as a whole. The weaker individuals are eliminated and the stronger ones are maintained, which is beneficial for the evolution and prosperity of the population. Intraspecific competition in cross-border e-commerce ecosystems refers to the behaviour of individuals involved in cross-border e-commerce interacting and competing with each other in order to gain more profit and market share. For

example, in the cross-border e-commerce ecosystem, the number of cross-border e-commerce demanders is limited, and cross-border e-commerce providers compete fiercely in terms of products and business models in order to compete for more cross-border e-commerce demanders and to take up more market share.

2.2.3 Ecosystem boundary analysis

Every link in cross-border e-commerce transactions has the existence of information flow, capital flow and logistics. They are closely linked, and these three are prerequisites and interdependent. The logistics and capital of the enterprise are one-way flows and are complementary. The flow of information is a two-way flow, which accompanies the logistics and capital flow and produce, in turn, they play a guiding role. And logistics and information flow to the flow of capital has the role of value contribution, reduce the cost of enterprises, speed up the flow of capital. Above the enterprise constructs the energy flow (capital flow) model, and below the enterprise constructs the information flow model. By analysing the cross-border e-commerce operation mechanism, it provides suggestions for individuals involved in cross-border e-commerce. The cross-border e-commerce ecosystem is centred on the cross-border e-commerce trading platform for information dissemination. Cross-border e-commerce providers display commodity information through the cross-border e-commerce platform, cross-border e-commerce demanders browse and search for product information through the cross-border e-commerce platform and finally choose the commodities to purchase, cross-border e-commerce service providers, as well as cross-border payment platforms and cross-border logistics platforms obtain customer information through the cross-border e-commerce platform to provide services for the customers and cross-border e-commerce providers, and finally the customer receives the products and feeds back information to cross-border platform, and the cross-border e-commerce platform feeds back the consumer feedback and consumer behaviour to the cross-border e-commerce provider, so as to optimise the

cross-border e-commerce provider's products or services. As shown in Figure 2.1. Information asymmetry is the root cause of product, payment, and logistics problems in cross-border e-commerce. In the cross-border e-commerce ecosystem, the party that has more information is in an advantageous position in the whole transaction chain and obtains more profits, while the party with less access to information is in an unfavourable position. Information asymmetry leads to a variety of problems in the operation of cross-border e-commerce, so in order to reduce the problems in the transaction link, cross-border e-commerce participants have to share information and achieve benefit sharing.

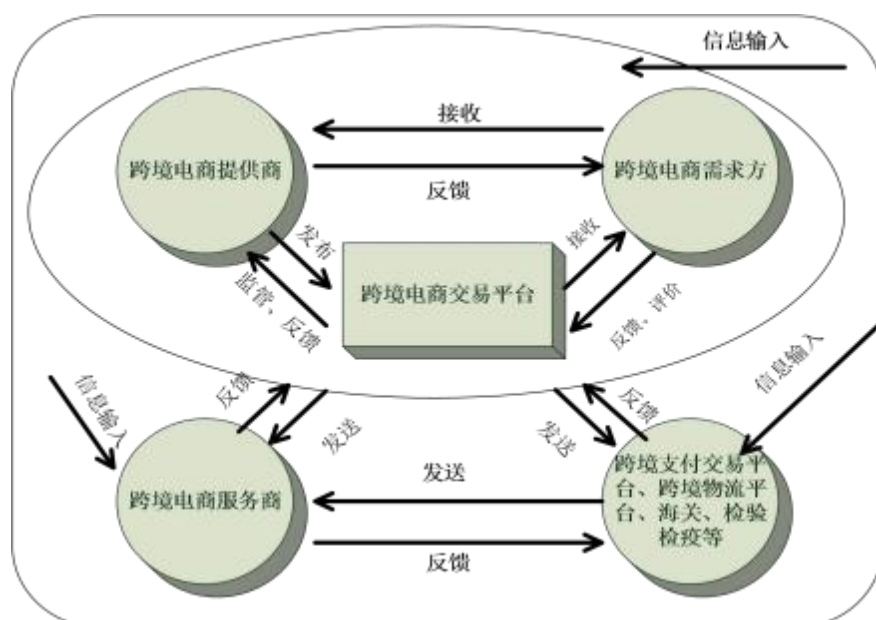


Figure 2-1 Cross-border e-commerce ecosystem information flow model⁵

2.3 Synergistic Theory

The concept of "synergy" was first defined by the physicist Hacken in 1977. Synergism is the co-operation between the components of a system that leads to a stable state of the system. Although different ecosystems have different internal components and system structures, from the perspective of system equilibrium, all systems are under the internal and external environments, the internal elements of

⁵ Global Cross-border E-commerce Brands Going Overseas Ecology Report

system co-operate and interact with each other, so as to make the system go from a disordered state to an orderly and stable process. Within the system, if the elements can cooperate and share information resources, then it may produce the effect of "1+1>2", promoting the stable and healthy development of the system; if the elements of vicious competition, information sharing, although it seems that the short-term gain benefits for their own benefit, but in the long run, it will only exacerbate the speed of its decline, and the overall impact on the system's stability. The system's self-sustainability is emphasised by Synergetics. Synergism stresses the self-organisation of the system, in the absence of external control, the members of the system collaborate with each other, thus bringing benefits and promoting the prosperity and stable development of the system.

2.4 Evolutionary game theory

(1) Development of evolutionary game theory

Game theory first originated from the English "GameTheory", as early as more than 100 years ago, the game theory was initially applied in the chess game, in the 1960s the famous scientists Weng Ting will be applied in the ecological problems, and according to the biological evolution of the law of the mutation theory and the combination of the traditional game, and put forward the Reproduction of dynamic equations. Evolutionary game and Darwin's theory of evolution has a strong origin, in 1859, Darwin in the "Origin of Species" proposed that the biological individual by the influence of the external environment, in order to adapt to the environment and the occurrence of heritable random mutation. Maynard Smith published Evolution and Game Theory to illustrate the concepts and applied principles related to evolutionary gaming, which led to its widespread use.

After sorting out the development process of evolutionary game, it can be seen that: evolutionary game comes from traditional game but is different from traditional game. The similarity between evolutionary game and traditional game lies in that both

of them are strategy selection of game subjects to reach equilibrium state; difference lies in that: evolutionary game regards game subjects as "limited rational man", and both of game parties can adjust their own strategies at any time, so that the game process is in dynamics; while traditional game evolution regards game subjects as "completely rational man", and the game process is static. The traditional game evolution regards the game subject as "completely rational person", and the game process is static. The "limited rational man" refers to the fact that under certain environmental factors, the subject of the game collects relevant information as much as possible, and then chooses the strategy that is beneficial to himself, and with the changes of the environmental factors inside and outside the system, the subject of the game can change his own strategy at any time based on his own interests. However, due to the limitation of certain factors, they cannot make the optimal decision for the whole system. A "fully rational person" means that the subject of the game has all the information resources and makes the optimal decision for himself and the whole system. The two core concepts of game theory are evolutionary stable strategy (ESS) and imitator dynamics (RD). Evolutionary stable strategy refers to the system members by the system internal and external factors, make a certain behavioural strategy choice, and make its strategy choice does not change; mimic dynamics is also known as the replication dynamics, through the replication dynamics, the game subject can be behavioural strategy prediction, and then analyse the subject behavioural strategy evolution path.

(2) The combination of strategies of the subjects involved in the game.

For the evolutionary game, the subjects involved in the game can be two or more. The subjects participating in the game have randomness in choosing corresponding strategies, so when the strategy combination of the game party changes, the game subject will have different gains or losses. And in the whole game process, the game party can change its own strategy according to the strategy of other game subjects, which can increase the benefit or reduce the loss accordingly. Eventually, the

equilibrium state of the whole evolution system and the relative satisfaction of evolution subjects are achieved.

(3) The basic assumption of evolutionary game is that the subjects participating in the game are all "limited rational man".

That is: when the subject of the game began to play the game, due to their own reasons, information asymmetry and a series of limitations, to choose their own beneficial strategy combinations. And with the further development of the evolution process, the evolution subject constantly adjusts its own strategy selection. At the same time, the probability of the evolution of the subject to choose each strategy is not the same, the gain or loss is not the same, until the main body of the game are relatively satisfied with no longer adjust the strategy so that the whole system to achieve a relatively balanced state.

(4) Replication of dynamic equations.

According to the above analysis, it can be seen that when members of the system are playing the evolutionary game, they can adjust their own strategies according to the strategy choices of other evolutionary subjects and then adjust their own strategies. That is, the strategy choice in the evolutionary game is always in dynamic. Some scholars have found that the probability change of strategy selection of evolutionary subjects is regular and can be quantified uniformly by an equation, which is the replication dynamic equation.

(5) Evolutionary equilibrium stability.

Because of the information, resources and other related factors, make the subject of the game can not always be in the dynamic change, but with the passage of time, will reach a kind of game subject are satisfied with the stable state. But this stable state is not static, with the change of strategy of the main body of the game and the influence of other factors, will make the system reach another stable state, this process is called evolutionary stable equilibrium.

2.5 Definition and development of cross-border e-commerce

2.5.1 Definition of cross-border e-commerce

Cross-border e-commerce is an abbreviation for cross-border electronic commerce, with a distinction between a broad and a narrow sense. Broad cross-border e-commerce refers to the commercial activities of different transaction subjects engaged in cross-border trade through modern electronic information technology and means of communication. Cross-border e-commerce in the narrow sense refers to a new type of commodity trading activities in which different trading subjects, through electronic modern electronic information technology and communication means, reach international transactions and complete cross-border payment and settlement, handle cross-border logistics and transport and a series of other activities. According to the definition of the World Customs Organisation, cross-border e-commerce is mainly characterised by the following features: online ordering, online selling, online communication, online payment, cross-border transaction and delivery, and the actual goods being delivered for shipment to the consumers or purchasers. Cross-border e-commerce is a new model for the development of international trade in the era of Internet+, integrating the characteristics of both, closely integrating information flow, logistics, capital flow, etc. through the network and information technology platform, and at the same time, it has the characteristics of traditional international trade transactions with many links and high risks, which generally involves multiple links such as customs, taxation, settlement and logistics. The cross-border e-commerce industry chain includes:

Upstream production suppliers, midstream cross-border e-commerce platforms and downstream support service providers and sellers, covering a wide range of aspects such as products, technology, transactions, payment, logistics, warehousing, etc., gradually forming a three-dimensional ecosystem. Suppliers include: manufacturers, foreign trade enterprises, e-commerce sellers. Buyers include: traders,

purchasers and individual consumers. Cross-border e-commerce platforms and service providers include: multinational third-party platforms, customs clearance, tax rebates, foreign exchange clearance, freight forwarders, shipping, cross-border courier, parcels, credit cards, information technology, human resources, translators and other service providers, payment platforms, financial institutions, and insurance companies. In addition, customs, commerce, taxation and foreign exchange departments are also important parts of the cross-border e-commerce ecosystem.

2.5.2 Classification of cross-border e-commerce

According to the type of transaction, cross-border e-commerce mode can be divided into: B2B, B2C, C2C and other basic modes. B2B (Business-to-Business) is a business model of exchanging and transmitting data and information and carrying out trading activities between enterprises and enterprises through a dedicated network or the Internet. Representative enterprises include: Alibaba International, Made-in-China, Global Sources, Dunhuang.com, DaLong.com, etc. B2C (Business-to-Customer) is a business activity mode in which enterprises in different borders sell products and services directly to consumers online and reach transactions. Representative enterprises include Amazon, Alibaba Express, Jingdong Global Shopping, SHEIN platform, etc. C2C (Consumer to Customer) is a business model of online purchase and sale of products and services between individual sellers and individual buyers at different border crossings. Representative companies include: eBay, Wish, Little Red Book, etc.

According to the division of the operating body, the cross-border e-commerce model can be divided into: platform-type, self-supporting, hybrid (platform + self-supporting). Platform-type mode, that is, by the third-party open platform through the online mall, integration of logistics, payment, operation and other service resources to attract domestic and foreign merchants stationed in the mode of operation. Representative enterprises are: Amazon, Dunhuang, Sell-through, eBay and so on.

Self-operated cross-border e-commerce platform refers to the mode in which e-commerce enterprises earn profits by building platforms and integrating supply chain resources to sell products and services directly through online channels. Mainly include: Lanting, Koala, Globalbuy, Little Red Book and so on.

According to the flow of goods, it can be divided into export cross-border e-commerce and import cross-border e-commerce. Export cross-border e-commerce refers to the enterprises through e-commerce to display goods, enter into transactions and complete the goods or services delivered to overseas importers of trade activities, is the mainstream of cross-border e-commerce in China. Import cross-border e-commerce mainly refers to the overseas goods through e-commerce sales to China's importing body of the activities, at present, mainly for the import platform before the overseas procurement of goods and transported to the domestic bonded warehouse, through the platform to facilitate the transaction, and then sent to the hands of domestic consumers.

2.5.3 Overview of cross-border e-commerce development in China

(1) Characteristics of cross-border e-commerce development in China

Firstly, relative to developed countries, China started late. Accompanied by the development of Internet technology and the continuous advancement of the globalised economy, e-commerce has gained significant development in many countries around the world, and at the same time effectively driven the development of cross-border e-commerce, which at the present stage has gradually become an important part of the development of China's foreign trade. The development of cross-border e-commerce in China relative to other developed countries, although it has the characteristics of a late start, but the overall development is extremely rapid. At the same time, it also brings the chaos of wild growth, and the rapid expansion of Temu in the European and American markets in this case has also led to many risks.

Second, the global complexity of the supply chain. Due to the continuous development of Internet information technology, domestic enterprises are no longer affected by regional spatial restrictions, and their industrial products and services have been gradually moving towards the world to carry out multi-field, multi-faceted, multi-level and omni-directional trade activities on a global scale. The Internet enables foreign consumers to buy and sell overseas commodities with the help of the Internet, and consumers hope that they can meet their own shopping needs more quickly and conveniently, and reduce the cost of customs fees. Cross-border e-commerce will be China's enterprises as well as consumers in other countries enterprises and consumers in close contact with each other, so that the transaction process between them is more simple, and the degree of information sharing is also higher. However, China's vast geographical area, although the supplier is highly concentrated, but also has great pressure on the logistics and transport time. And Europe and the United States in recent years from the policy and legal suppression and restrictions on Chinese enterprises, have increased the risk of supply chain.

(2) Impact of the development of cross-border e-commerce in China

Cross-border e-commerce includes both cross-border imports and cross-border exports; the impact of cross-border e-commerce has import and export trade differentials. Cross-border imports can increase the domestic commodity category, and cross-border exports can make Chinese manufacturing out of the country. Cross-border exports are relatively helpful to China's economic development, the country is now also more supportive of this piece, the emergence of cross-border e-commerce platforms will be trading offline to online, more convenient and more visual. 2013 August the State Council, the Ministry of Commerce, "on the implementation of support for the implementation of cross-border e-commerce retail exports of the relevant policies," the development of cross-border e-commerce for the expansion of the international market share, expanding the marketing network of foreign trade, Transforming the mode of foreign trade development is of great importance and far-

reaching significance. To accelerate the development of cross-border e-commerce in China and to support cross-border e-commerce retail export, the General Administration of Customs (GAC) "GAC Announcement No. 12 of 2014 (Announcement on the Addition of Customs Supervision Mode Codes)" in January 2014 added the Customs Supervision Code of 9610, which is fully known as "cross-border trade and e-commerce". E-commerce" applies to e-commerce retail import and export commodities that are traded by individuals or e-commerce enterprises in China through e-commerce trading platforms and are subject to customs clearance procedures in the mode of "list checking and releasing and aggregate declaration". Several Opinions on Supporting Stable Growth of Foreign Trade" supports the export of products with intellectual property rights, brands, marketing networks, high technological content, high value-added and high efficiency. Upgrading processing trade, revising the catalogue of prohibited and restricted categories of commodities for processing trade, improving processing trade policies, and innovating processing trade modes. June 2015 State Council "Guiding Opinions of the General Office of the State Council on Promoting the Healthy and Rapid Development Cross-border E-commerce" Supporting domestic enterprises to better utilize e-commerce to conduct foreign trade. Accelerate the establishment of a policy system and regulatory system adapted to the characteristics of cross-border e-commerce, and improve the level of facilitation in all aspects of trade. Encourage inter-enterprise trade to realise full online transactions as soon as possible, and continuously expand the scope of tradable commodities. May 2016 State Council's Several Opinions of the State Council on Promoting the Return of Foreign Trade to Stability and Improvement to Carry out and expand the pilot projects of cross-border e-commerce, the market procurement trade mode and the comprehensive foreign trade service enterprises. Accelerate the establishment of a management model that is compatible with the development of comprehensive foreign trade service enterprises, and grasp the improvement of the tax refund (exemption) classification and management methods for comprehensive

foreign trade service enterprises. October 2017 Ministry of Commerce, the National Development and Reform Commission, and other "letter on the replication and popularisation of mature experience and practices formed in the exploration of comprehensive cross-border e-commerce pilot zones" deepen the "release of management and service" reform, strengthen system, management and service innovation, actively explore new experiences, and promote the healthy and rapid development of cross-border e-commerce. March 2018 Ministry of Commerce's Notice on Doing a Good Job in E-commerce Statistics Strengthening the implementation of the e-commerce statistical system, establishing a mechanism for contacting enterprises; optimising the structure of the sample, and grasping the key enterprises; improving the quality of the data, and ensuring the timeliness of the work. August 2018 E-Commerce Law of the People's Republic of China by the Standing Committee of the National People's Congress The E-Commerce Law of the People's Republic of China is the first comprehensive law in the field of e-commerce in China. Among other things, the E-Commerce Law adds Article 26, "E-commerce operators engaging in cross-border e-commerce shall comply with the laws and administrative regulations on import and export supervision and management as well as the relevant state regulations", which brings cross-border e-commerce operators under the jurisdiction of this law, and also stipulates that, while being subject to this law, they shall also comply with other laws, regulations and provisions. The September 2018 Circular of the Ministry of Finance, the State Administration of Taxation and others on Taxation Policies for Retail Exports of Goods in Comprehensive Pilot Zones for Cross-Border E-Commerce (CPA) implemented on a trial basis a value-added tax (VAT) and consumption tax (CST) exemption policy for e-commerce export enterprises in comprehensive pilot zones exporting goods for which they have not obtained valid proof of purchase, while at the same time meeting the relevant conditions. E-commerce export enterprises are registered in the comprehensive pilot zone and register the date of export, the name of the goods, the unit of measurement,

the quantity, the unit price and the amount on the online comprehensive service platform for cross-border e-commerce at the place of registration. The December 2018 General Administration of Customs Announcement on the Supervision and Regulation of Cross-border E-commerce Retail Import and Export Goods stipulates the management of cross-border e-commerce enterprises, the management of retail import and export goods for customs clearance, and other matters. It provides a detailed legal basis for the supervision of cross-border e-commerce retail exports and promotes the healthy and orderly development of cross-border e-commerce. October 2019 SAT's "Announcement on Issues Relating to the Approved Collection of Enterprise Income Tax for Retail Exports in the Comprehensive Pilot Zone for Cross-border E-commerce" provides for the approved collection of enterprise income tax for cross-border e-commerce enterprises in the comprehensive pilot zone in terms of the scope of the approved collection, the conditions, the manner, the procedure, and preferential policies. In May 2020, the State Council's "Reply of the State Council on Agreeing to Establish Comprehensive Pilot Zones for Cross-border E-commerce in 46 Cities and Regions including Xiong'an New Area" established comprehensive pilot zones for cross-border e-commerce in 46 cities and regions, including Xiong'an New Area, Datong City, Manchuria City and Yingkou City. May 2020 State Administration of Foreign Exchange "Notice of the State Administration of Foreign Exchange on Supporting the

Development New Business Forms in Trade" promotes the quality and efficiency of foreign trade, accelerates the development of new business forms in trade such as cross-border e-commerce, and improves the facilitation level of foreign exchange receipts and payments in trade. August 2020 State Council "Opinions of the General Office of the State Council on Further Improving the Work of Stabilising Foreign Trade and Stabilising Foreign Investments" does a good job in the work of the "Six Stabilising In August 2020, the State Council's "Opinions of the General Office of the State Council on Further Improving the Work of Stabilising Foreign Trade and

Foreign Investment" did a good job of "six stabilisation", implemented the task of "six guarantees", further strengthened the work of stabilisation of foreign trade and foreign investment, stabilised the main body of foreign trade, and stabilised the industrial chain supply chain. Actively promote the construction of comprehensive pilot zones for cross-border e-commerce, continuously explore good experiences and practices, and study the establishment of a comprehensive pilot zone assessment and evaluation mechanism. Support the construction of a number of overseas warehouses.

2021 July State Council "Opinions of the General Office of the State Council on Accelerating the Development of New Formats and Modes of Foreign Trade" Improve cross-border e-commerce development support policies. Apply cross-border e-commerce business-to-business (B2B) direct export and cross-border e-commerce export overseas warehouse regulatory models nationwide, and improve supporting policies. Facilitate the management of cross-border e-commerce import and export returns. Guiding enterprises to make good use of the VAT and consumption tax exemption policies for cross-border e-commerce retail exports and the approved income tax collection methods. Expanding the pilot scope of comprehensive cross-border e-commerce pilot zones.

2021 September 2021 The Ministry of Commerce, the Central Internet Information Office, and the National Development and Reform Commission's "14th Five-Year Plan for the Development of E-Commerce" advocated openness and win-win solutions, and supported the development of cross-border e-commerce and overseas warehouses.

2021 November 2021 The Ministry of Commerce's "14th Five-Year Plan In November 2021, the Ministry of Commerce's "14th Five-Year Plan for High-Quality Development of Foreign Trade" clarified the guiding ideology, main objectives and work priorities of foreign trade development during the "14th Five-Year Plan" period, guiding the behaviour of market players, actively expanding imports and optimizing exports, promoting high-quality development of foreign trade, serving to build a new development pattern, and opening up a new win-win situation for cooperation and cooperation. Situation. It is proposed to support the accelerated

development of new trade forms, including promoting the sustained and healthy development of cross-border e-commerce, advancing the development of market procurement trade mode, playing a leading role in comprehensive foreign trade service enterprises, accelerating the development of overseas warehouses, promoting the development of bonded maintenance and supporting the development of high-shore trade, etc. In January 2022, the National Development and Reform Commission's "Fourteenth Five-Year Plan" for the development of modern circulation system was adopted. Modern Circulation System Construction Plan" to develop new business forms in foreign trade. Promote the diversified development of cross-border trade and cultivate new dynamics of foreign trade. Deeply promote the construction of comprehensive pilot zones for cross-border e-commerce, and encourage cross-border e-commerce platforms to improve their functions. Guide enterprises to optimise the layout of overseas warehouses, improve the functions of overseas warehouses, and enhance the efficiency of cross-border circulation of commodities.2022 March 2022 The State Council's "Government Work Report 2022" accelerates the development of new business forms and new modes of foreign trade and gives full play to cross-border e-commerce to support the construction of a number of overseas warehouses and actively expand the import of high-quality products and services. Innovative development of trade services and digital trade to promote the implementation of the negative list for cross-border trade in services. Deepen the reform of customs clearance facilitation and accelerate the construction of the international logistics system to help foreign trade reduce costs and improve efficiency.2022 May The State Council's "Opinions of the General Office of the State Council on Promoting the Maintenance of Stability and Improvement Quality in Foreign Trade" promotes the accelerated development of cross-border e-commerce to improve quality and increase efficiency. For the cross-border e-commerce export overseas warehouse regulatory model, increase the policy propaganda, for the realisation of sales of goods, guide enterprises to make full use of the existing export tax rebate policy, timely declaration

for tax refund. As soon as possible to introduce policies to facilitate cross-border e-commerce export return and exchange of goods, and carry out pilot projects in due course. For the cross-border e-commerce industry characteristics, strengthen policy guidance to support eligible cross-border e-commerce-related enterprises to declare high-tech enterprises. 2022 September Ministry of Commerce "to support the stable development of foreign trade a number of policies and measures to support the development of cross-border e-commerce overseas warehouses introduced to further support the development of policy measures.

(3) Trends in cross-border e-commerce

First, the integration of online and offline. At this stage, consumers for "see and touch" form of consumption shows corresponding dissatisfaction, related cross-border e-commerce offline experience shop has gradually by the cross-border product display, transformed into the online can buy global synchronisation and the same price of imported goods. The integration of offline and online is not a unilateral demise, but a win-win situation, online and offline complementary business, the value and role achieved is far greater than any model unilaterally brought about by the value. Traditional offline business can take advantage of modern information technology to achieve online ordering, replenishment, offline trading mode for the corresponding supplementary mode of operation. The use of aspects of the product information released on the network of related products, consumers themselves through the network aspects of observation, selection, ordering and payment of goods, in the corresponding offline transaction of the corresponding items. In this process, the consumer just through the online payment of relevant information, can be in the vicinity of the online trading co-operation shop for the effect of goods trading. Such a model in operation, on the one hand, can increase exposure for the offline sales shop to play the role of publicity to enhance the overall turnover and revenue, on the contrary, for online sales, do not need to bear the pressure of goods reserves, reduce operating costs and risks; on the other hand, can save the response to the cost of

logistics and transport to reduce the consumer's unnecessary expenditures, so that the price of the product to further decline; at the same time the use of logistics Transport reduction, can play a role in reducing the effect of pollution.

Second, the development and intelligence of the logistics model. The cost and efficiency of logistics is one of the important factors that directly affect the shopping experience of consumers in cross-border e-commerce. At this stage, there are five main forms of logistics: domestic express mode, postal parcel mode, special line logistics mode, international express mode, and overseas warehousing mode. As one of the recently emerged cross-border e-commerce logistics mode of overseas warehousing mode, compared with the traditional logistics mode, in the transport time is more rapid, and at the same time can be more timely for consumers to provide goods return service. Comprehensive factors, it is not difficult to find the advantages and disadvantages of the logistics model at this stage, in the development of cross-border e-commerce logistics model, the level of intelligence is in constant improvement. For example: the use of network big data, the network in the big data statistics has the significance of the times, consumers in the use of smart phones to carry out the corresponding transactions, the consumption traces left on the network, can be used as a source of information analysis. Consumer information and data, after the corresponding summary and analysis, can fully grasp the consumer demand, as well as the location of the consumer population distribution and consumption cycle, to fully achieve the development of logistics refinement. On the other hand, the continuous development of intelligent robot technology, such as handling, sorting, distribution and other aspects of the work, is gradually realised for the replacement of artificial. The development of the above logistics model and intelligent process, and constantly for consumers and enterprises to reduce logistics costs, improve the efficiency of transport and distribution.

Third, the scale of personalised customisation. Consumers' pursuit of personalisation and quality of consumption psychology has led to the gradual

formation of the corresponding scale of personalised customisation, for example, clothing, beauty, household products, and so on. At this stage, some cross-border e-commerce enterprises have already standardised the production of internal components of their products to meet the demands of consumers with the help of different forms of combinations. In the future, along with the 3D printing technology, artificial intelligence level and the continuous improvement of virtualisation technology, the cost of personalised customisation by merchants will continue to reduce, and consumers can also spend less to complete their own personalised customisation requirements.

With the development of the times and the continuous improvement of Internet technology, e-commerce has been developed accordingly in many countries around the world, and at the same time, cross-border business and trade activities have been greatly driven. The development of cross-border e-commerce in China has its own characteristics, and the whole shows a vigorous vitality, which has a positive impact on the development of China's economy and people's life. In the future, with the deepening of the globalisation process and the continuous improvement of the technology level, we believe that China's e-commerce will create better results.

Chapter 3 Background information of Temu

3.1 Introduction to the Temu platform

Temu is a professional cross-border e-commerce platform launched by Pinduoduo, which means "Team Up, Price Down", i.e. the more people buy, the lower the price. In China, Pinduoduo has achieved rapid growth in the industry by virtue of its solid price-performance advantage, but Temu has not been overwhelmed in the overseas market, and has also achieved success in cross-border e-commerce by virtue of its low-pricing strategy. Temu's revenue will be US\$290 million in 2022, and is expected to reach US\$14 billion in 2023, and US\$30 billion in 2024, which is a leap forward in terms of growth. Temu's strong ability to absorb money in overseas markets. "Merchant - Temu Platform - Consumer" constitutes the core messaging chain of the Temu Platform ecosystem. Merchants display product information to consumers through the Temu platform, and consumers can browse and purchase products through the platform. When consumers browse on the Temu Platform, they can see the shop's official Q&A for frequently asked questions, which can initially solve some of their doubts. If consumers still have doubts, they can consult the official Tmall customer service, and users will immediately get a preliminary intelligent answer after sending the keywords of the question to the service assistant. If the problem is still not solved, you can also find human customer service advice. On the Temu platform platform, all shops of the resident merchants are equipped with Want Want Chinese consulting services and provide domestic after-sales service. In addition, users can also contact AliMoney through online counselling. If a consumer places an order, international Alipay and Cainiao Logistics receive the transaction information through the Temu platform platform and provide support services for the completion of the transaction. When consumers receive the goods, they can evaluate the merchant's shop on the Temu platform platform. the platform rates the merchant's

description, service and logistics based on the consumer's evaluation, and other users can use this evaluation to make a preliminary judgement on the goods provided by the merchant in order to decide whether or not to buy the goods. there are information asymmetries on the Temu platform platform, such as the quality of the goods. Temu Platform, as a platform-based cross-border e-commerce trading platform, its main role is to provide a platform for cross-border transactions between merchants and consumers and to provide an entry point for traffic. Although there are a large variety of commodities, it is not possible to carry out comprehensive quality control and supervision of each item. As a result, consumers may question the quality of their purchases, which may affect their shopping experience, and Temu's innovative "fully managed model" is often cited as the decisive factor in the platform's ability to stand out in a short period of time. The fully managed model means that, unlike the usual e-commerce platforms, merchants on Temu only need to take orders for production, send the goods to Pinduoduo's warehouse in Guangdong, and then do not need to be involved in all the subsequent processes. This greatly reduces the cost and risk for merchants. Taking the U.S. market as a starting point, we can rapidly expand the layout of different markets through the mode of "sending goods to the world in one tray". (1) Starting stage: Temu was launched on the U.S. website in September 22, and the U.S. MAU grew at a high rate in October-November 22, with a growth rate of 166% and 1129% respectively, and in January 23, Temu's contribution to the global traffic mainly came from the U.S. website, and the U.S. MAU accounted for more than 99% of the total. (2)Global expansion stage:Since February 23, Temu has continued to explore emerging markets, and the MAU share of markets outside the U.S. was 53% in August 23, exceeding 50% for the first time. (3) The growth rate of MAU in the US market is stabilising, and the ringgit growth rate in Nov-Dec 23 was 8% 16% 1-2% 12% respectively, and the MAU in the global market is still growing at a high rate, and the ringgit growth rate is 7% and 19% respectively. As of January 2024, Temu has been

stationed in 49 countries and has covered Asia, Europe, North America, South America, Oceania and South Africa.

	For the three months ended December 31,			For the year ended December 31,		
	2022	2023		2022	2023	
	RMB (Unaudited)	RMB (Unaudited)	US\$ (Unaudited)	RMB	RMB (Unaudited)	US\$ (Unaudited)
Revenues	39,820,028	88,881,036	12,518,632	130,557,589	247,639,205	34,879,253
Costs of revenues	(8,926,705)	(35,078,272)	(4,940,671)	(31,462,298)	(91,723,577)	(12,918,996)
Sales and marketing expenses	(17,732,384)	(26,638,524)	(3,751,958)	(54,343,719)	(82,188,870)	(11,576,060)
General and administrative expenses	(1,640,527)	(1,904,842)	(268,291)	(3,964,935)	(4,075,622)	(574,039)
Research and development expenses	(2,406,677)	(2,864,430)	(403,447)	(10,384,716)	(10,952,374)	(1,542,610)
Total operating expenses	(21,779,588)	(31,407,796)	(4,423,696)	(68,693,370)	(97,216,866)	(13,692,709)
Operating profit	9,113,735	22,394,968	3,154,265	30,401,921	58,698,762	8,267,548

Figure 3-2 Poundland's Fourth Quarter and Full Year 2023 Earnings Report⁶

3.2 Advantages of TEMU platform

Temu's platform advantage has core resources such as team, capital, supply chain, etc., which help Temu quickly establish a competitive advantage. In terms of the team, Temu team has a strong fighting force. Former Pinduoduo COO Guo Pingping under the leadership of a wealth of experience and passion for work. In addition, Temu actively recruit members with rich experience in cross-border e-commerce industry. Temu front-line team plus management team totaled about 700 people, including 50 investment team, buyer team 30 people, platform operation team 50 people.

In terms of funding, Pinduoduo provides Temu with strong financial support. According to the financial report, in terms of revenue, Pinduoduo's operating income in 2022 was 130.558 billion yuan, a year-on-year increase of 39% compared with 2021; in terms of net profit, net profit attributable to common shareholders in 2022 was 31.538 billion yuan, a year-on-year increase of 30.6%; in terms of cash flow, as of December 31, 2022, Pinduoduo's cash, cash equivalents and short-term investments amounted to 149.4 billion yuan. Since Temu went live in September 2022, Pinduoduo's Q3 2022 financial report showed marketing expenses of 14.049 billion yuan, an increase of approximately 40% from 2021, a large portion of which was used for Temu's marketing and promotion.

⁶ Poundland Investor Relations Website

In terms of supply chain, Pinduoduo is able to provide strong supply chain support for Temu's low-priced, high-quality products. According to The Daily FRONT ROW, Pinduoduo has built a network covering more than 11 million suppliers in its long years of operation. Since 2015, Pinduoduo has cultivated more than 1,000 factory brands; in 2018, Pinduoduo took the lead in the industry by launching the “New Brand Program”, which provides in-depth cooperation with source manufacturers and brands. Relying on Pinduoduo, Temu is able to directly reach the end of the supply chain and obtain branded homogeneous sources at the lowest price in the same category, forming a stable advantage for Temu's supply side.

Temu adheres to the self-management model, and its key business includes merchant stationing, product selection, price negotiation, merchant delivery, marketing and promotion, order generation, fulfillment and delivery, and after-sales service. Among them, merchants are only responsible for supply and delivery to the warehouse, logistics companies, courier companies are responsible for delivery, and other links are responsible for the platform. Compared with Wish, a U.S. e-commerce platform whose value proposition is also low price and full range of products, Temu's self-management model can personally control product quality and price through product selection, price control and other measures, and standardize the management of the merchant more effectively; and personally responsible for the majority of marketing and promotion, after-sales service, etc., to enhance the level of service and cultivate the user's degree of trust. These initiatives allow Temu to avoid a large number of Wish platform of poor product quality, rough packaging, delivery and returns and refunds too long, merchants vicious brush and spread the goods and other issues, to enhance the trust and satisfaction of consumers and sellers, so that the early traffic can be effectively converted to improve user stickiness and repurchase rate.

Chapter 4 Analysis of TEMU's Overseas Strategies and Potential Problems

4.1 Overseas strategy analysis

Since the reform and opening up, and especially since its accession to WTO, China has been developing foreign trade as an important means of supporting its economic growth. As the largest developing country in the world today, China has nearly one fifth of the world's working population and ranks first in terms of economic output and total import and export volume. From the annual data of import and export volume enterprises, it is clearly that no matter how the world economy changes, China's foreign trade has been maintaining a stable development trend. Under the influence of the epidemic in 2020, many domestic industries have been greatly impacted, but the export economy has maintained an upward trend varying from the medical protection products to other industries.

Among them, cross-border e-commerce has stronger advantages over traditional foreign trade in terms of supply and demand information transfer, payment and settlement, and transaction convenience, etc. The e-commerce channel is gradually replacing the traditional hierarchical distribution mechanism. Import and export transactions around the world are gradually experiencing the penetration of e-commerce. In 2020, the penetration rate of China's cross-border e-commerce market in international trade has reached the world's thirty-ninth per cent. According to Avery Consulting, China's cross-border e-commerce market has reached approximately 4.65 trillion by 2020, up 26.9 per cent year-on-year, and it is expected that the market will continue to grow at a high rate in the future, with hopes of exceeding 1.5 trillion yuan by 2025. Currently, China's cross-border exports are no longer limited to low value-added products, and more and more original design and technology products are being sold globally based on China, the world's strongest supply chain base. With the

signing of RCEP, the Chinese government will further reduce import tariffs in accordance with the agreement, and we can foresee that the business of importing will also receive a spring breeze.

The development trend of cross-border e-commerce is mainly affected by the following three factors:

- ① consumer demand;
- ② consumer purchasing power;
- ③ consumer purchasing habits.

As one of the major economies in the world, the United States ranks first in the world in terms of consumer demand for products. However, the proportion of cross-border e-commerce sales in the U.S. market to overall domestic e-commerce sales will still be only about 1% in 2019, far less than China's 8%. ⁷By comparing the development status of China and the United States in the above aspects, the long-standing habit of U.S. consumers to use local offline channels for consumption is the main reason. Affected by the epidemic, the U.S. residents have changed their consumption habits, due to the lack of local production capacity coupled with the limitations of shopping outside, more consumers began to focus on the line, this trend has become more and more obvious. Overseas cost-effective consumption demand climbed favourably low-priced goods. Uncertainty in the external environment and the pressure caused by persistent high inflation is gradually reflected in the European and American consumer markets, and the price sensitivity of overseas consumers has increased significantly, according to AdobeAnalytics tracking, the market share of low-priced goods in the U.S. e-commerce market from January 2019 to February 2023 continues to climb to the low-priced goods share of apparel bags, daily groceries, personal care, and other categories has now been far higher than the share occupied by high-priced goods: In addition, according to a survey by research organisation

⁷ Source: U.S. Department of Commerce, 2020 Euromonitor statistics.

2Visions, 61% of apparel shoppers are more inclined to buy discounted goods, and the demand for low-priced goods overseas is gradually increasing. At the same time, China's strong supply chain to support the adequate supply of cost-effective goods to better meet the growing demand for low-priced goods overseas, in this context, the full hosting model for the oversupply of factory-type merchants to provide a new way of shipments, by virtue of the price advantage of the rapid penetration of overseas sinking markets.

Taking a closer look at customer preferences for e-commerce logistics, it is reflected that individual consumers generally accept the logistics delivery methods arranged by the platform, or choose among the several options given by the platform. Enterprise consumers, on the other hand, have a stronger willingness to use their own logistics resources. From the perspective of cross-border e-commerce logistics companies, the points to be met are different. The business built through the e-commerce platform, individual consumers basically do not have direct contact with the logistics provider, so the logistics provider's main object of service is the platform's service supervisors, this type of service is most concerned about the point is mainly in the timeliness, exception handling and other aspects. Business consumers, on the other hand, are more concerned about the stability of logistics and channel control. Of course, the cost is a factor that all types of consumers attach great importance to.

The profitability of cross-border e-commerce companies is extremely affected by logistics costs and efficiency. China's logistics market is huge, but it remains relatively inefficient compared to other developed markets. Looking at the cross-border e-commerce logistics industry alone, logistics costs account for about 20-30% of the transaction value. How to improve efficiency and optimise processes to reduce logistics costs has become a challenge.

The current e-commerce logistics industry companies can be divided into three categories according to the roles of the participants:

① Resource providers in the upstream, including but not limited to relevant software development, packaging material design and production, automation equipment R&D and production, and trunk line network laying.

② Logistics service carriers, referring to the use of the above resources to provide transport, warehousing, delivery and additional services for merchants. (iii) Demand side using logistics services e.g. platforms, enterprises, individuals, etc.

From the software point of view, e-commerce enterprises should have the ability to accommodate the processing of huge orders, make use of big data, cloud computing, Internet of Things and other technologies to do a good job of resource rationing, and constantly improve its automated order processing, online tracking, information terminal feedback and other basic requirements. The design and development of packaging materials should meet the different requirements of different products on compression resistance and collision safety coefficient, so that the goods can be delivered safely during transport. At the same time, we should also pay attention to the recyclability of packaging, packaging materials, environmental performance and so on. Automation equipment is also a very important part of the e-commerce logistics industry. E-commerce products are characterised by a large number of SKUs and different packaging specifications, as well as a single batch of goods in small quantities and multi-frequency, so from the warehouse to the sorting centre, we need to use automation equipment to enhance the speed, accuracy and productivity of key logistics operations such as warehousing, transport, sorting and distribution.

4.1.1 Target group targeting and platform positioning

The important reason why Temu has been able to rise rapidly in the United States in a short period of time and seize the market share of many powerful competitors such as Amazon, Shein, Sizzle, TikTok, etc. is that it has a unique business model. In the process of expanding overseas markets, Temu has not completely copied Pinduoduo's business model in China, nor has it completely imitated the business

model of an existing cross-border e-commerce platform. Instead, based on the successful experience accumulated by Pinduoduo in the domestic market, Temu adjusts and optimizes it in combination with the characteristics of the overseas market, forming a unique business model.

(I) Customer segmentation: focusing on the sinking market and targeting low-end customers

Similar to Pinduoduo's focus on the sinking market, Temu's main customers are positioned in the middle and low-end consumers to meet people's demand for cost-effective products. According to ITBEAR Technology Information, Temu's target customers are mainly Asians or low-income consumers with an annual household income of less than 30,000 U.S. dollars. The sinking U.S. market has seen greater demand due to the economic downturn. According to Zippa's research, as of October 2022, the share of lower-class people (with annual incomes of less than \$42,000) in the U.S. is 29%. Attest's U.S. Consumer Trends Report 2022 shows that 32% of Americans say they are currently being "more cautious" in their spending, while 16% say they are currently being "very cautious" in their spending. That's 49% of Americans who are cautious about spending and are more interested in more cost-effective products, according to Attest's 2022 U.S. Consumer Trends Report. This trend can also be seen in the rapid development of Dollar Tree, a local \$1 store, and Shein, a Chinese cross-border e-commerce company. Dollar tree, which focuses on \$1 department store goods, has 15,900 stores in the United States in 2021, with sales of \$26.3 billion in 2022; Shein, which focuses on low-priced fast fashion, will have sales of more than \$10 billion in 2020, with sales of \$22.7 billion in 2022. On the other hand, the U.S. sink market is not yet saturated. According to eMarketer data, in the U.S. e-commerce market, Amazon's market share is as high as 41% (according to the proportion of GMV); according to PYMNTS data, Amazon's prime U.S. member number reaches 166 million (U.S. population of 330 million), however, Amazon's advantage is mainly reflected in the middle and high-end track. In the low-end track,

Shein mainly focus on women's clothing categories; known as the “U.S. version of Pinduoduo” Wish sales fell from 2.5 billion U.S. dollars in 2020 to 500 million U.S. dollars in 2022, the stock price fell 87%, and losses continue to expand. It can be seen that there is a lack of leaders in the low-end market of U.S. e-commerce, which has a large growth potential.

(ii) Value proposition: satisfy the demand for low prices and provide a more complete range of categories:

Temu's value proposition is to provide customers with low-priced, full-category products, i.e., “to provide consumers with a variety of products at the lowest possible price.” Temu attracts a large number of consumers quickly with low prices and extreme cost-effectiveness in a short period of time, and its slogan is “Team Up, Price Down”. Its slogan is “Team Up, Price Down”, i.e., “Buy together, only cheap”, and the price of similar single products in Temu is much lower than that of Shein and Amazon, with obvious price advantages. According to the sample statistics of Zhejiang Securities, in terms of apparel and footwear, the price of Temu's sample items is more than 30% lower than Shein's. The price of similar items is much lower than Shein's and Amazon's, so the price advantage is obvious.

Around the low price strategy, Temu also launched a number of discounts, such as “1 cent choose 1”, “UP TO 90% OFF” and so on. At the same time, Temu also gave a “free” shipping strategy, so that the user from the product selection to the delivery of goods, the whole process has a “money-saving” shopping experience.

On the other hand, compared with Shein's strategy of focusing on women's clothing, Temu provides consumers with a full range of products, which can cover more user needs and user groups. According to McKinsey 2022 research, sports apparel, pet supplies, cosmetics, and software and electronics are four popular categories where the purchasing power of U.S. consumers continues to rise. According to Zhesang Securities, Temu's official website is set up with 29 first-level categories and 339 second-level categories, with daily hundreds of supplies, clothing

and footwear, and 3C digital as the main best-selling categories. According to Huatai Securities, as of October 2022, Temu's categories that account for a higher GMV are mother and baby products, home kitchen products, shoes, women's clothing, electronic products and appliances, and jewelry.

(iii) Channel access: increasing user touchpoints and multi-channel traffic acquisition

Temu acquires customers through multi-channel traffic diversion such as direct traffic, external links, search, social, email and display ads. According to ZSE, in November 2022, direct traffic was Temu's largest source of customer acquisition, accounting for 45.56%. Followed by social, search, and advertisements accounting for 18.04%, 15.97%, and 13.42%, respectively. In terms of APP downloads, according to data.ai, Temu was ranked No. 1 in the U.S. Apple Store and Google Play download charts for shopping applications, and as of the end of June 2023, Temu had more than 70 million downloads globally, and continued to top the charts for more than 200 days. McKinsey's 2022 research found that since the new crown, U.S. consumers are more eager to seek product promotion information on emerging social media, and Temu attracts users through social fission, advertising, and KOL recommendations, etc. Temu opens up the invitation+cashback fission strategy, such as "Chopping a slice", and consumers can get direct rewards by inviting new users. By inviting new users, consumers can get direct discounts or cash rewards; the titles of infomercial materials are often used to attract users with discounts, free shipping, free returns, etc. In January 2023 alone, Temu placed about 8900 advertisements on Meta's platforms; Temu spent 100 million yuan to buy 60-second Super Bowl ads to further root its "cheap" positioning in the market. Temu spent \$100 million on a 60-second Super Bowl advertisement to further root its "cheap" positioning in the hearts of U.S. consumers; Temu also acquires customers through affiliate marketing, inviting interested bloggers, online celebrities and other affiliates to assist in the promotion of the program through multiple channels, and offering rebates and commissions.

(iv) Customer relationship: Enhance user interaction and user stickiness

In terms of customer relationship, Temu interacts with consumers through discount promotions, introduction of games, after-sales service, etc., to enhance the freshness and experience of consumers and establish good customer relationship.

Temu also launches limited-time ultra-low price promotions from time to time to allow users to enjoy lower prices; it also increases user participation and interactivity, such as through the introduction of small games such as solitaire, where consumers can win free items, and the platform can also increase the length of stay of the user, increasing user stickiness.

In addition, in terms of after-sales service, Temu implements an unconditional return policy within 90 days, and the return link platform further encourages users to leave the goods by giving discount refunds, which in turn improves users' mind and boosts repurchase. According to China Merchants Securities, Temu users are relatively satisfied with the quality of products and services, and the return rate is lower than the industry average.

With the series of initiatives mentioned above, Temu has established a good customer relationship, which not only meets consumers' demand for low-priced goods and improves user stickiness, but also brings more user traffic and orders, thus forming a virtuous cycle. According to 36 Krypton data, as of February 2023, Temu's reorder rate was around 10%, slightly higher than its competitors. According to Bloomberg data, Temu's user retention rate in the U.S. market has continued to grow since December 2022, approaching 50% in May 2023, significantly higher than Shein.

4.1.2 Backend supply chain integration

In terms of business model, Temu's fully managed model helps the platform screen out the best suppliers with the highest production capacity and remove intermediate links such as distributors, thus realizing the improvement of business efficiency. Pinduoduo adopts a fully managed self-operated business model, in which

the platform assumes or replaces the functions of multiple layers of distributors, and lets consumers benefit from the profits released by the shortened supply chain, creating a significant price advantage and attracting consumers, thus opening up the cycle between more consumers and more sales. In addition, suppliers are only responsible for the “production” and “delivery to domestic warehouse” segments, so manufacturers only need to maximize production costs, and cross-border logistics and operations are basically zero threshold. On this basis, Temu can screen out manufacturers with strong supply chain capabilities and relatively outstanding cost advantages, which are relatively compatible with the characteristics of Temu's “low-priced explosive models”: Temu obtains low-priced sources of goods and maintains the platform's price advantage; Temu is similar to JD.com in that it is easy to release the volume of single SKUs and has a high frequency of explosions, so merchants can get the best results under the extreme scale effect. Temu is similar to Pinduoduo, the single SKU is easy to release the volume and the burst frequency is high, so merchants can get reasonable gross profit under the extreme scale effect, thus realizing a win-win situation. Therefore, the business model represented by Temu can be summarized as a “fragmented, micro-frequency, multi-frequency” model, thanks to the strong supply chain and industrial chain of China's manufacturing industry behind it. As the region with the largest number of cross-border e-commerce companies, Guangdong has established a global supply chain network based on the design, production, logistics and sales of digitalization with the two core cities of Guangzhou and Shenzhen, and the seven cities in the Pearl River Delta, such as Dongguan, Zhuhai and Foshan, as the key support. Taking Guangzhou as an example, there are more than 551 professional markets here, with a complete transnational industrial chain of goods including clothing, beauty, shoes, leather products and other categories. On this basis, Temu's supply chain model mainly consists of merchants' back-office stationing and commodity supply, as well as the supply pool of goods for warehousing and Temu's shelves.

On the Temu platform, merchants can post their products on the shelves and supply them to buyers through backend posting merchant background stationing and commodity supply. Merchants can choose their own product categories and pricing, and adjust them according to market demand. Temu has the final pricing authority, but merchants can set reasonable prices based on their own costs and market competition. Merchants' products will be reviewed and screened by Temu, and those that meet the criteria will enter the supply pool. Temu will integrate the products into its own supply pool for buyers to choose and purchase. Temu will check the quality of the goods and provide appropriate after-sales service to ensure the rights and interests of buyers.

4.1.3 Front-end marketing promotion

Temu's traffic comes mainly from direct visits (about 44%), social media traffic (mainly from Facebook and Youtube, 21.5%), natural search (7.3%), paid search (16.2%), and display ad traffic (3.5%) Attracting Traffic and Customer Acquisition Costs.⁸

Temu (Team Up, Price Down) allows consumers to quickly understand the connotation of affordable group, and the main color of the APP is passionate orange, which is more likely to stimulate people's desire to consume. In terms of marketing and customer acquisition, Temu adopts a multi-channel marketing and promotion strategy, including social media, content promotion and affiliate marketing. In the cold-launch phase, the platform uses social media platforms such as Facebook, Instagram, Tik-Tok, etc. to display the products and conduct unboxing reviews to attract users and carry out social fission spreading, and TEMU also attaches importance to KOL (Key Opinion Leader refers to a person who has a greater

⁸ From Similarweb's data 2024

influence and power of speech in a specific group of people, and there is no absolute limit to the scope of the group, which can be as large as an industry, and can be as large as an industry. There is no absolute limit to the scope of this group, which can be as large as an industry, a subculture circle, or as small as an interest group. Temu also emphasizes KOL (Key Opinion Leader refers to a person who has great influence and power of speech in a specific group, and there is no absolute limit to the scope of this group, which can be as large as an industry, a subculture circle, or as small as an interest group. At the same time, Temu has also increased its investment in marketing. As of the third quarter of 2023, Temu's PPC spending (pay-per-click advertising) was approximately \$242.4 million, surpassing Walmart's \$171 million for second place, and Temu spent \$1 billion on marketing in its first month of operation in the U.S. The Super Bowl live ads were hailed as the most popular ads in the country. The Super Bowl live ads are touted as the most important in the nation's advertising landscape, and in February 2023, a whopping \$14 million was spent on two 30-second ads in the U.S. Super Bowl (the annual championship game of professional American football). That's because the Super Bowl's viewer demographic is highly overlapping with Temu's target audience; Temu's platform sells lifestyle products, and Super Bowl viewers, regardless of their income, age, or gender, are anchored in Temu's user profile. The night the Super Bowl aired Temu saw a 45% spike in downloads, a 20% increase in daily active users, and Super Bowl ads outperformed daily ads by a factor of 10. Temu spent \$1.4 billion on U.S. ad campaigns in 2023, and has a budget of \$4.3 billion for 2024.

The huge marketing spend has accelerated Temu's journey into millions of homes. Such a staggering investment has also directly changed the entire landscape of outbound e-commerce. Facts have proved that Temu's extreme low price + money marketing play is very effective. One year after its launch, Temu has gained 200 million downloads in the developed markets of Europe and the United States. From the performance of Temu's initial launch in the U.S., it is easy to realize the “curved

road to overtake” in the sinking market of countries with high purchasing power by using the low price strategy to capture the market. At the same time, Temu recognizes that its U.S. competitors are fighting back and that its order growth is slowing, and is choosing to invest its resources in new, faster-growing markets. To that end, Temu is accelerating its entry into more countries and regions.

4.1.4 Channel traffic exploitation

Temu is aggressively pursuing traffic acquisition strategies. While Amazon still leads in active users, Temu is well ahead of all of its competitors in both total minutes of daily use and minutes of daily use per user. According to GWS Magnify statistics for the month of October 2023, Temu had 120 million minutes of usage per day, compared to Amazon's 79 million minutes of usage per day and SHEIN's 16 million minutes of usage per day. In terms of minutes per user per day, Amazon and SHEIN users spend 8.7 and 8.8 minutes per day on the app, respectively, while Temu users spend 22.4 minutes per day on the app, more than twice as much as Amazon and SHEIN. Similarweb's data shows that 90% of visitors to TEMU's website are just visits, and these These users don't translate into actual consumers, and a large amount of traffic pours into the site that doesn't translate into orders. Meanwhile, in October, there were 28.6 million unique visitors to SHEIN's website, a 7.25% increase from 2022, and a decline in conversion rates from 4.6% to 4.1%. TEMU launched in September 2022 in the U.S., and in October 2023, the number of monthly unique visitors to its website jumped to 42 million. However, only 4.5% of these users generated actual transactions.

互动 ^①			
Metric	● shein.com	● temu.com	
📅 每月访问量	190.4M	446.7M 🏆	
👤 月独立访客数	N/A	N/A	
👤 访问量/独立访客	N/A	N/A	
🕒 平均访问停留时间	00:07:07 🏆	00:05:37	
📄 每次访问页数	8.26 🏆	7.45	
📈 跳出率	36.58% 🏆	37.88%	
📄 页面浏览量	1.573B	3.326B 🏆	9

As a newer player in the e-commerce space, Temu has a different traffic structure compared to more established platforms like Amazon or Shein. Temu have a higher reliance on paid acquisition channels (e.g. social media ads, search ads, affiliate partnerships) to drive initial awareness and user growth. In contrast, longer-standing platforms may have built up a stronger base of organic traffic through factors like brand recognition, SEO, and word-of-mouth. Temu's traffic structure could also be more heavily skewed towards mobile/app channels, as they prioritize a mobile-first approach to reach younger, more tech-savvy consumers.

Paid Advertising: As mentioned, Temu is investing heavily in paid digital advertising across social media, search engines, and other channels to rapidly acquire new users.

Referral/Affiliate Programs: Temu incentivize existing customers, influencers, or partners to refer new users through special offers, commission-based promotions, etc.

App Store Optimization (ASO): Temu focus on optimizing their mobile app's presence and discoverability in app stores to drive downloads and engagement.

Strategic Partnerships: Temu could strike partnerships with complementary brands, media outlets, or other platforms to cross-promote and share audiences.

⁹ similar web 2024.1-2024.3

As a newer platform, Temu needs to quickly build up a critical mass of active users to compete with more established players. Temu's low-cost supply chain model allows them to be more aggressive with discounts and promotions to drive user acquisition. Paid ads, partnerships, and other tactics help Temu build brand awareness and credibility in a crowded market. Acquiring more users also gives Temu more data to optimize their platform, offerings, and marketing strategies over time. Impulsive consumers make up a higher percentage of TEMU transactions and are a big reason why traffic placements have lower conversion rates.

4.1.5 Cross-border order fulfillment systems

In the cross-border e-commerce business, large merchants often have complex business scenarios, such as merchants in the major e-commerce platforms, independent stations, overseas stores have sales business, generating multi-channel orders. In the domestic and overseas may be at the same time multiple warehouses, warehouses distributed in different countries, merchants cooperate with multiple logistics carriers, different carriers have different time, cost, service. Accordingly, merchants will also face complex operations and decision-making.

TEMU's Order Management System (OMS) is an information management system for full life cycle management, complex decision-making and analysis of all orders generated by merchants' platform transactions; it supports inquiries, creation, centralization, auditing, modification, splitting, merging, cancellation, and archiving of orders; for merchants, OMS orders are mainly from two sources, namely online orders and offline orders. For merchants, OMS orders are mainly from two sources: online orders and offline orders.

Usually, the most mainstream cross-border e-commerce merchants sell in the mainstream cross-border e-commerce platforms, such as Amazon, ebay, shein and so on. The advantage of being stationed on the platform is to enjoy the traffic of the platform itself, which is conducive to the sale of goods, but the corresponding

disadvantages are also obvious, the business activities of merchants are strictly regulated by the platform, and they do not have much autonomy in pricing, promotions, and operational activities.

When the merchant has more than one overseas warehouse, the order should be shipped from which warehouse, usually consider shipping from the nearest warehouse. Unlike domestic order fulfillment, overseas order fulfillment also takes into account customs clearance. The closest overseas warehouse is not necessarily the most cost-effective shipping warehouse, and cross-border shipments often incur high tariffs and import VAT.

TEMU's fully managed model solves the problem of merchants cooperating with multiple carriers to transport parcels for them, and when the delivery fails or the order return problem arises, the goods in the parcels often cannot be returned to the country because the cost of returning the goods to the country is even higher than that of discarding the goods directly, and in addition, it may also incur import taxes. It also avoids the cost of goods after a fulfillment failure, a risk merchants often have to bear.

4.2 Potential problems

4.2.1 False declaration of goods value

E-commerce innovations alone don't explain Temu's low prices. Many lawmakers accuse Temu of abusing a loophole in U.S. import tax and obscure U.S. law helped Temu's meteoric rise. The loophole lets companies skip import fees for smaller-value shipments, and Temu uses that rule when shipping individual packages to people's homes rather than importing in bulk to a warehouse. obscure U.S. law helped Temu's meteoric rise

The rule in question is called *de minimis*, a legal term for something too insignificant in value to bother imposing duties. The threshold differs around the world; in the European Union, it's 150 euros (about \$160). The U.S. level used to be

\$200, but it rose to \$800 in 2016 — among the highest in the world — when then-President Barack Obama signed the bipartisan Trade Facilitation and Trade Enforcement Act. Both Temu and Shein rely heavily on the de minimis exception to ship packages directly to U.S. consumers allowing them to provide less robust data to Customs and Border Protection and avoid import duties. The U.S.-China Economic and Security Review Commission (USCC) under the U.S. Congress released an analyst report that found cross-border e-commerce platforms Temu and other Chinese e-commerce companies to have problems with data security, purchasing irregularities, and infringement of intellectual property rights, and recommended that the U.S. government should remain vigilant.

4.2.2 Counterfeit goods and trademark infringement issues

In addition, the U.S. market business closed-loop ecosystem is difficult to form, the platform service system is facing a test. In the e-commerce review service website Trustpilot, overseas consumers evaluation is very polarised, 61% of users gave 4 stars and 5 stars positive feedback, 32% of users gave 1 star and 2 stars bad reviews, of which the bad reviews are mainly focused on quality issues.

Copyright issues pose a huge risk, with Temu and its parent company named as defendants in at least 50 trademark or copyright infringement lawsuits in the U.S., and lawsuits have become a regular occurrence for Temu. Nike, Dex UGG, Levi Strauss, Stussy, Oakley sunglasses, and online retailer Dolls Kill have all accused Temu of stealing their designs, claiming that they have infringed on their copyrights and trademarks, and seeking damages and injunctions alleging that Temu has infringed on their designs in a number of cases. SHEIN sued Temu in the United States, alleging trademark and copyright infringement, as well as "false and deceptive business practices. "2023 SHEIN further accused Temu of trademark counterfeiting and infringement, copyright infringement, business disparagement, and unjust enrichment. However Temu also filed a lawsuit in the U.S. Federal Court in

Boston alleging that SHEIN violated U.S. antitrust laws in its dealings with the apparel maker, stating in the complaint that "as of 2022, SHEIN owns more than 75 per cent of the U.S. ultra-fast fashion market." Most notably, Temu specifically states that SHEIN "used its dominant market power to force apparel manufacturers to enter into exclusive agreements with it, preventing them from working with Temu." While embroiled in numerous litigation disputes, Temu and SHEIN are also at risk of falling further into a vicious competition due to their ecological proximity.

4.3 Stakeholders relationship analysis

The cross-border e-commerce ecosystem consists of populations in five areas:

1. Cross-border e-commerce platforms: such as the Temu platforms in this case, are key linking points in the ecosystem that play a dominant role.
2. On the buyer's side: buyers are diverse in their identities: traders, buyers, brands, retailers, online shop owners. The buyers' size hierarchy is dispersed: large multinationals, small and medium-sized enterprises (SMEs), micro-merchants and individuals.
3. Seller side: offline foreign trade enterprises, domestic merchants in the field of e-commerce. Mainly distributed in Guangdong, Zhejiang, Fujian and other provinces and regions.
4. Service Providers: In B2B business, it involves customs declaration and inspection, tax rebate and exchange clearance, freight forwarding, shipping, etc. In B2C, it involves cross-border courier, parcel, credit card and third-party payment.
5. Government regulatory agencies: Customs, commodity inspection, tax, and layman's administration.

Synergism is the process by which the components of a system cooperate with each other to bring the system to a stable state. Although different ecosystems have different internal components and system structures, from the point of view of system equilibrium, each system is a process in which, under the internal and external

environments, the internal elements of the system cooperate and interact with each other, so that the system moves from a state of disorder to an orderly and stable state. Within the system, if the elements can cooperate and share information resources, then it may produce the effect of "1+1>2", promoting the stable and healthy development of the system; if the elements of vicious competition, information sharing, although it seems that the short-term gain benefits for their own benefit, but in the long run, it will only exacerbate the speed of its decline, and the overall impact on the system's stability. The system's self-sustainability is emphasised by Synergetics.

Synergism emphasises the self-organisation of the system, in the absence of external control, the members within the system collaborate with each other, thus bringing benefits and promoting the prosperity and stability of the system. The theory of synergetics shows that the relationship between populations in an ecosystem is mainly symbiotic. Located in the cross-border e-commerce ecosystem, the five populations cooperate with each other, and share information resources among the populations to promote their own development. Symbiotic relationships mainly include parasitism, partial symbiosis and reciprocal symbiosis.

Parasitism: refers to the dependence of a population on other populations for survival, drawing from other populations the nutrients they need. In the cross-border e-commerce ecosystem, some professional talent training organisations rely on cross-border e-commerce platforms and specialise in cultivating some anchor with goods to carry out online live streaming with goods, so as to gain profits. For example, Alibaba's Speedway proposed in 2020 that it would launch a global netroots incubation programme, with netroots bringing goods live through the cross-border e-commerce platform. However, at present, there are some anchors on the platform who do not understand the marketing products, and the phenomenon of false propaganda on goods occurs from time to time. There are also unscrupulous merchants using cross-border e-commerce platforms to sell fake and shoddy products, so as to obtain large profits. Once the products are exposed due to quality problems, not only the

credibility and reputation of the merchants are questioned, but also the cross-border e-commerce platform will be implicated.

Biased symbiosis: populations co-operate and relate to each other, but the relationship only benefits one of the populations and has no effect on the other. Cross-border e-commerce platforms issue coupons and subsidies on their platforms in the course of development to win consumers' trust. For example, Pinduoduo's 10 billion yuan subsidy, in order to promote the purchase of products by users, directly subsidise the goods on the platform. For consumers, participating in subsidy activities on the platform to buy goods at a low price; for cross-border e-commerce platforms platform companies pay a certain capital cost to obtain the favour of users. Overall, there is no gain or loss to the platform.

Mutually beneficial symbiosis: refers to the synergistic cooperation between populations to promote each other's long-term development and bring long-lasting benefits to both partners. The core, key, supporting and parasitic populations in the cross-border e-commerce ecosystem work together to reduce their own operating costs and the impact of risks. Mutualistic symbiosis within the cross-border e-commerce ecosystem is mainly manifested in two ways. The first is that supplier populations sell various products and services through the cross-border e-commerce platform, which attracts a large number of consumers, and when more consumers place orders through the cross-border e-commerce platform, more suppliers will be attracted to enter the cross-border e-commerce platform, so that the suppliers and the cross-border e-commerce platform will gain profits. The cross-border e-commerce platform needs to regulate the suppliers and prohibit them from selling counterfeit and shoddy products. When consumers buy counterfeit and shoddy products through the cross-border e-commerce platform, they can choose to complain to the cross-border e-commerce platform against the suppliers, and the consumers will lose their trust in the cross-border e-commerce platform. For example, if the Amazon platform discovers that a supplier sells counterfeit or shoddy products, it will immediately suspend or

terminate the supplier's Amazon sales account and discard all the counterfeit goods stored in the Amazon operation centre, and the relevant costs incurred will be borne by the supplier itself. In addition, the supplier will not receive payment until the platform confirms that the consumer has received the genuine product ordered.

Second: To facilitate cross-border transactions, cross-border e-commerce platforms collaborate with various supporting companies to promote their own sustainable development. For the cross-border e-commerce platform, the synergy will enable the platform to acquire a large number of users and promote its own development. For supporting enterprises, co-operation with cross-border e-commerce platforms facilitates their business and increases their profit margins. In order to enhance consumers' purchasing experience, cross-border e-commerce platforms collaborate with cross-border logistics enterprises in terms of commodity customs clearance, logistics turnaround capacity, and timely information updates. For example, FedEx and Microsoft collaborated in January 2022 to combine FedEx network intelligence with the functions of Microsoft Dynamics 365, giving full play to FedEx's data analysis capabilities and Microsoft Dynamics 365's intelligent order management capabilities, in order to more efficiently complete logistics and distribution and serve customer orders, to Enhance the consumer shopping experience. Mutually beneficial symbiosis not only promotes the population's own development, but also helps promote the healthy development of the cross-border e-commerce ecosystem.

4.4 Temu Platform Business Model Analysis

(1) Differences in product areas

Poundland Temu is known for its group buys and low-priced goods. Through the model of centralised purchasing and social sharing, Poundland Temu has managed to sell goods at low prices. In contrast, SHEIN, a cross-border e-commerce platform that focuses on fashionable women's clothing, offers consumers a wide range of trendy and fashionable clothing, shoes, accessories and other products. In terms of product

areas, Jinduoduo Temu mainly focuses on relatively low-priced goods, while SHEIN focuses more on fashion and branding. Temu is based on a "self-supporting" model, in which merchants only provide goods, which is equivalent to a supply chain. Temu is mainly a "self-operated" model, where merchants only provide goods, which is equivalent to the supply chain, and Temu is responsible for pricing, sales, marketing, logistics, after-sales, etc. Self-supporting merchants are also known as "suppliers", merchants are only responsible for providing goods, Temu order procurement form of co-operation, merchants are not involved in operations, sales, promotion and other operations. Temu is oscillating between self-managed and hosted models, while SHEIN's self-managed goods account for a higher proportion of the higher requirements for warehousing and logistics, more investment, and more strength.

(2) Differences in business models and user groups

Pinduoduo Temu uses a group-buying model where users can enjoy lower prices by inviting friends and participating in group-buying. This model promotes interaction and sharing among users and is suitable for consumers who enjoy group buying and seek affordable prices. In contrast, SHEIN is a cross-border e-commerce platform that focuses on personalised shopping, with a greater emphasis on personalisation and quality.

(3) Differences in commodity sources

Pinduoduo Temu's merchandise is mainly sourced from suppliers on the Pinduoduo platform, which are vetted and screened by Pinduoduo to ensure the quality and reliability of the merchandise. This approach allows Temu to offer more internationally popular fashion items with high quality and brand recognition.

When choosing the right e-commerce platform for them, consumers need to consider their needs and preferences. If the buyer is more concerned about affordable prices and enjoys group buying and social interaction, then Pinduoduo Temu may be a better fit. However, if the buyer is a fashion follower who focuses on personalisation and quality, SHEIN may be more to the buyer's taste. The purpose of shopping should

also be considered. If you are a shopper looking for everyday essentials or bulk items, Poundland Temu offers many affordable options. However, if buyers are looking for unique fashion pieces, SHEIN's international fashion collaborations may be more appealing to you.

(4) User experience

User experience is also an important consideration. Both Poundland Temu and SHEIN have invested a lot of resources in the user interface and shopping experience, but their websites and apps may differ in design and functionality due to different target audiences. Hence, try and compare the shopping experience of both first to find the most suitable platform.

(5) Comparison of platform logistics and distribution

Compared to Temu, which focuses on distribution, SHEIN's logistics focuses on warehousing due to the difference in platform types. Although the SHEIN platform does not have "direct" logistics support, the performance and efforts of the SHEIN platform in logistics and warehousing are also worthy of recognition. In order to improve logistics efficiency, SHEIN platform in the warehousing and logistics management industry with the help of leading enterprises co-developed an intelligent management system "Xianglong" and cloud TMS system "Ruilin". The purpose of the two is based on cloud computing and intelligent system to make the chain between logistics enterprises, brands and consumers directly through, so as to improve efficiency.

In addition to the support of advanced systems, SHEIN Platform also actively explores other excellent logistics companies in China based on its own business model. In December 2018, SHEIN Platform and Vanke Logistics signed a strategic co-operation agreement in Hangzhou to strengthen the penetration in third- and fourth-tier cities through sunken warehouse layouts. SHEIN Platform will utilise the platform's quality and scale advantages to help new cross-border bonded warehouses introduce SHEIN platform will leverage its quality and scale advantages to help new

cross-border bonded warehouses to introduce cross-border orders to help new cross-border bonded warehouses to quickly pass cross-border business.

(6) Comparison of platform profitability

Temu has copied the strategy of Pinduoduo in China to achieve "absolute low price" supply, relying on the fully managed model to achieve the ultimate efficiency of the supply chain with the role of a self-owned "super seller". The core value of Temu's choice of the fully managed model lies in the following: (1) On the platform side, the right of product selection and pricing is collected, so as to ensure that the price of all categories on the whole platform is pressed to the extreme, and the optimal solution of the platform's traffic and resource distribution is achieved on the macro level, and the bargaining power of the tail delivery to the logistic provider can be enhanced through the aggregation of orders. (2) the merchant side, reduce the threshold for merchants to enter (such as 0 commission, 0 advertising fees, no need to bear the tail logistics, etc.), essentially expanding the scope of the investment pool, in particular, to guide the more sensitive to the procurement of goods, bargaining power of the weaker factories to go to sea.

With low daily price and large-scale tournament marketing, the platform is rapidly gaining momentum. When comparing the prices of online platforms, Temu is more competitive than Amazon and SHEIN; when comparing the prices of offline channels, Temu has outstanding advantages in terms of "more" and "savings". Looking forward to 2024, Temu will continue to innovate its business model, focusing on full hosting, supplemented by book-to-book, and find another way to enrich the platform's product offerings. The platform's choice to launch the B2B business at this point in time is a new opportunity for the platform to improve the deployment of resources between the common pain points on the merchant side (supply) and the platform side (demand). We assume that this model will serve more as an alternative and supplement to the "emergency" supply that the platform seeks. Meanwhile, as Temu enriches its category structure and opens up the large-item category, the

platform's proportion of ocean freight will increase, optimising its cost structure. The platform may build warehouses in core markets, such as the United States, to strengthen its fulfilment capacity.

The SHEIN platform is self-operated, and it relies heavily on the sales profitability method, i.e. the profits and revenues earned from marketing goods on the SHEIN platform. SHEIN has chosen to continue to maintain its advantage of low unit prices and multiple styles, and it even plans to add more styles of apparel. On top of that, SHEIN plans to dramatically change its sales model, for example, according to the SHEIN team, SHEIN plans to harvest 261 million customers in 2025, and 60% of them are repeat customers; in order to not affect SHEIN's low-priced audience while increasing the price of the unit, the company had launched a high-end standalone brand, MOTF, in 2021, with the main single piece of the product priced at \$20 to 40 USD. SHEIN expects this high-end product line to help the company reach \$7.5

billion in profits by 2025 after effectively reducing warehousing and distribution costs. Introducing third-party sellers is a transformation that SHEIN is already implementing, launching a third-party marketplace of local sellers in Brazil in 2023, and not long ago opening a third-party marketplace in Mexico and starting to recruit sellers. This initiative will not only help SHEIN expand its customer base, but also ease the pressure of localisation across borders, such as logistics and taxes. The transition to a third-party platform for SHEIN will undoubtedly break the original business model, and SHEIN will be how to balance the flow between its own brand and third-party sellers is not yet known.

4.5 Temu cross-border logistics system ecosystem problems and countermeasures

At present, there are still many problems in the composition of cross-border e-commerce ecosystem, firstly, the cross-border logistics system and cross-border e-commerce ecosystem integration is obviously insufficient. In order to ensure the continuous and effective operation of the cross-border logistics system, it is necessary

to ensure that there is sufficient logistics infrastructure, and the dynamic play of the cross-border logistics and transport system also needs a solid and reliable cross-border logistics infrastructure to support the current cross-border e-commerce ecosystem composition of the problem is how to improve and improve the cross-border logistics system infrastructure construction efforts. Temu's U.S. consumers are most dissatisfied with Its logistics timeliness, American users who are used to next-day delivery are difficult to accept Pinduoduo's collection time of 8-10 days at every turn. Meanwhile, U.S. consumers have more complaints about the platform's undeliverable parcels, unknown costs, order confusion and poor customer service. On the other hand, the lack of modern transport infrastructure reduces the ecosystem integration of cross-border e-commerce. The operation of cross-border e-commerce is mainly based on the logistics system as the main core, so the construction of the logistics system is to ensure that the cross-border e-commerce operation of the core content of the good transport mode and logistics centre and other logistics infrastructure construction, in order to better achieve the smooth development of cross-border e-commerce business, to promote the construction of cross-border e-commerce eco-system under the

Internet perspective.

Poor integration of the logistics ecosystem has led to high costs for Temu, with fulfilment costs in the US market accounting for nearly 30% of total costs. Temu logistics and fulfilment chain consists of three parts, firstly, the domestic headway, where sellers can choose to prepare goods in advance for the VMI mode or JIT mode based on the actual order shipment of goods to domestic warehouses, with freight costs shared equally between Temu and the seller; secondly, the mainline transport by Temu from the domestic warehouse through the co-operation of logistics service providers to the overseas transshipment hub, the middle also involves customs clearance and transshipment, including logistics company collection, air trunk and customs clearance, landing and transshipment, etc.; and then finally through the third-party logistics co-operation partners to complete the tail end of the distribution of

goods to the hands of the user. In the process of mainline transport, Temu will provide full-link services through logistics service providers such as Jiru and Yuntou.

Temu's response is to continue to collaborate and grow the symbiotic logistics system, through their own segment procurement of capacity, cost reduction and risk diversification. 2023 Temu and Mason, Star, Duffy, Maersk, COSCO Shipping and other shipping companies to cooperate, the introduction of maritime logistics and distribution methods. Despite the success of the innovation of the full hosting model, Temu has found out the goods suitable for this model, but it has neglected the ecological cultivation in warehousing and logistics, in order to reduce costs Temu began to launch the "semi-hosting model". "Semi-managed" focus on the development of commodity categories, including bulky goods, products with electricity and other products with high unit price, such as jewellery, etc. Temu will be more hopeful on the semi-managed, the mode, merchants can choose not to use Temu's designated warehousing and logistics service providers, in accordance with their own way to flexibly decide on the Warehouse logistics programme. As for commodity pricing, or in the hands of Temu, the difference between the speed sell pass POP "semi-trusted" model - the platform as a logistics fulfilment services, and goods, pricing, operation is handed over to the merchant. "Semi-trusted" is still in a large number of investment, merchants have reached tens of thousands, some of which come from the United States mainland has a warehouse, the ability to ship their own merchants, another part of the original "full hosting" under the merchant, they opened a new platform! "Semi-managed" form of shop. If the half-hosting progresses smoothly, the U.S. market is expected to reduce the cost of fulfilment to about 18%. According to previous official news, plans to go live in the United States on 15 March, and expand to Europe and other sites at the end of March". Following the opening of semi-custodian in the U.S. site, Temu has recently launched this model in Canada. The biggest change brought about by this model is that the rate of goods on the shelves of the audit is improved, 10 pieces of goods can pass 7 or 8 pieces, much

higher than the full hosting. Timeliness is Temu "semi-trusted" on the important requirements of merchants, in the delivery of time, the seller has a total of "1 working day delivery" and "2 working days delivery" two options At the same time, within the distribution area, the platform requires a delivery timeframe of 2-5 working days, calculated as the range of the merchant's delivery timeframe is about 4-9 days.

Under the "fully managed" model, Temu's logistics takes 7-15 days. In addition to the direct reduction of logistics costs, "semi-managed" to improve the efficiency of fulfilment, but also conducive to the increase in the mark-up rate and customer unit price, and thus dilute the logistics costs. The customer unit price of goods under the "semi-managed model" is 30% or more higher than that under the "fully managed model". Under the latter model, the customer unit price of Temu is about 40 US dollars, while the customer unit price of "semi-managed" can be raised to at least 50 US dollars. At the same time in the "semi-managed" to promote the share of Temu direct cooperation with the airline will also be greatly increased, thus introducing more merchants also consciously grow the logistics ecosystem.

Chapter 5 Solutions: Cross-border e-commerce ecosystem optimisation

5.1 Expansion of ecosystem boundaries

5.1.1 Awareness of synergistic ecosystem cooperation

The problems and risks encountered by Temu and SHEIN overseas above illustrate that enterprises within the cross-border e-commerce ecosystem sometimes make moves that undermine ecosystem cooperation based on short-sighted behaviour and self-interest. Therefore, enterprises should establish a sense of win-win cooperation in both the corporate system and corporate culture to prevent unilateral egoistic behaviours. First, in the process of cooperation, in order to prevent enterprises from intentionally destroying the cooperative relationship or doing other behaviours that are detrimental to the interests of the partners, enterprises should sign relevant contracts and agreements. They should also carry out background checks on their partners to prevent them from being of unknown origin or maliciously breaching the contract in the course of co-operation. Secondly, enterprises should establish a deep-level cooperative relationship with each other. The leaders of cross-border e-commerce related enterprises should play a leading role in establishing a good corporate culture, and widely promote the sense of win-win cooperation within the enterprise. Moreover, enterprises can further deepen the inter-enterprise cooperation relationship by carrying out relevant cooperation, such as cross-border e-commerce platforms and cross-border payment enterprises to jointly establish a payment system to provide consumers with instalment payment, cash on delivery and other payment methods to provide consumers with a variety of means of payment, which will enhance the consumer's desire to buy; the cross-border e-commerce platforms and cross-border logistics enterprises to work in collaboration, through the whole process of monitoring and control of logistics information, as well as overseas warehouses,

cargo transit, and so on. The cross-border e-commerce platform cooperates with cross-border logistics enterprises, and through the whole process of logistics information monitoring and the establishment of overseas warehouses and cargo transit points, it prevents the phenomena of commodity loss and damage, and then creates a perfect logistics and distribution system to improve the efficiency of logistics and distribution. And put forward the late arrival must be compensated and other related systems, so that consumers know the real-time logistics information, enhance the consumer shopping experience. Thirdly, cross-border e-commerce enterprises can build a mutual assistance platform, optimise their business processes, enhance infrastructure construction, etc. to deepen the inter-enterprise cooperative relationship of mutual help. For example, core enterprises and supporting enterprises can share cooperation resources by building mutual assistance platforms, update commodity inventory information and transaction information through mutual assistance platforms, which can help suppliers adjust the inventory quantity of different commodities and facilitate cross-border e-commerce platforms and suppliers to predict consumers' behaviour in purchasing commodities, thus improving their own service quality and lowering the operating costs of enterprises. For cross-border e-commerce platforms, suppliers and consumers, by building mutual assistance platforms, cross-border e-commerce platforms monitor suppliers in real time, and consumers complain about suppliers through the platforms, so that suppliers operate in good faith and thus provide high-quality goods or services. However, in the early stage of cooperation, enterprises choose not to cooperate because the cost of cooperation is greater than the benefits brought by cooperation. Although in the short term the enterprise's own interests are not lost, in the long term, establishing a sense of cooperation and strengthening the cooperative relationship between enterprises is not only conducive to the long-term development of enterprises, but also to a more stable cross-border e-commerce ecosystem. Therefore, within the cross-border e-commerce ecosystem, enterprises should establish a sense of cooperation between

enterprises, through the complementary advantages of enterprises to enterprises to reduce operating costs, so as to create more value.

5.1.2 Enhanced sharing of information resources

The strategic choices made by enterprises in the cross-border e-commerce ecosystem are affected by information resources, and when the information between enterprises is not smooth or unequal, enterprises tend to adopt unilateral egoistic behaviours, thus affecting the stability of the cross-border e-commerce ecosystem as a whole. The policy and legal risks encountered by Temu and SHEIN in the competition for the U.S. market are an important revelation. As cross-border e-commerce platforms with similar ecological niches, more and more intense intraspecies competition has been intensifying. However, in recent years, domestic enterprises in the European and American markets have faced hostility and suppression from the European and American governments and local enterprises in Europe and the United States, so the best gaming strategy for domestic enterprises should prevent excessive internal conflict, such as copyright issues, etc. There should be a more open and transparent communication mechanism, and the enterprises in the ecosystem should realise the sharing of information resources, so that the information resources can be effectively transmitted and applied. Therefore, if enterprises want to make effective use of information resources, they need to strengthen co-operation among themselves, open up information resource sharing channels, and establish a transparent and open information sharing mechanism. Organise cross-border e-commerce related associations and organisations to hold offline exchange meetings, invite cross-border e-commerce related enterprises to join the meeting, and conduct face-to-face communication and exchange. The establishment of an information resource sharing mechanism to enable timely and effective transmission of information resources, which in turn increases the ability of enterprises to share information, will not only bring the relationship between enterprises closer, but also enhance the economic

benefits of enterprises, which in turn promotes the sustainable and healthy development of the cross-border e-commerce ecosystem. For core and supporting enterprises, promoting the sharing of information resources between enterprises and removing information barriers between enterprises can reduce their operating costs. For example: information resource sharing between cross-border e-commerce platforms and cross-border logistics enterprises, cross-border e-commerce platforms will dynamically update the commodity logistics information through the platform, so that both consumers and cross-border logistics enterprises can monitor the information in real time; cross-border e-commerce platforms and cross-border payment enterprises share information resources to make payment more convenient for consumers, and also to enable cross-border e-commerce platforms to monitor the transaction information in real time in order to prevent payment insecurity and other phenomena. Suppliers update commodity information in real time through the cross-border e-commerce platform, so that consumers can understand the detailed information of commodities through the platform and then complete the order. Therefore, it is important to promote the sharing of information resources among the main bodies in the system, so that information can be transmitted in a timely and effective manner, thus promoting the development of enterprises themselves.

Because SHEIN once occupied as much as 75 per cent of the US market share, it has encountered very serious targeting from the US government and enterprises in the US, such as SHEIN's efforts to go public in the US, the IPO plan has been repeatedly blocked by the US government and capital. SHEIN's response strategy is to acquire shares of international apparel brand giants, move its headquarters to Singapore, and strive to build its image to a more internationalised one, downplaying the original Chinese corporate elements to cater to the preferences of overseas capital.

5.2 Optimisation of competition within ecosystems

5.2.1 Improving the establishment and management of overseas warehouses

As mentioned earlier, the largest number of complaints from consumers in the European and American markets about Temu and SHEIN is the low efficiency of logistics and the long waiting time to receive goods. In for the cross-border logistics link encountered many problems, can be solved through the overseas warehouse. The emergence of overseas warehouses has greatly facilitated the development of the cross-border e-commerce industry. Overseas warehouse refers to the cross-border e-commerce platform to build warehouses in overseas countries or regions, so as to store a certain amount of goods in the overseas warehouse for the turnover of goods. When a consumer places an order, the cross-border e-commerce company can ship the goods directly from the overseas warehouse, which not only shortens the timeframe of cross-border logistics, but also saves the transport cost of purchasing in batches. As an important node connecting merchants and consumers, overseas warehouses play a huge role. Chinese cross-border e-commerce companies set up their overseas warehouses overseas, which on the one hand can save a lot of transport costs and time costs, and on the other hand is also conducive to the development of overseas markets. Because cross-border e-commerce transactions are generally characterised by small batch and multi-frequency, cross-border e-commerce platforms can make use of big data and other Internet technologies to predict the sales volume of commodities within a certain period of time, so as to purchase the required commodities in advance in batch according to the predicted volume, and store them in overseas warehouses. In this way, not only does it reduce risk by reducing the frequency of transport, customs clearance, commodity inspection, etc., but large-scale procurement also saves a lot of cost. In addition, overseas warehouses are also conducive to consumer returns and exchanges. When consumers need to return or exchange goods, the goods can be

returned directly to the local overseas warehouse, reducing the link of cross-border customs clearance and commodity inspection when the goods are returned to China.

Improving the establishment and management of overseas warehouses can go a long way in improving consumer satisfaction and thus cross-border transaction volumes. SHEIN has several overseas transit warehouses around the world, but only receives consumer returns and does not ship them. Therefore, SHEIN is building several overseas warehouses in the U.S. In 2023, the distribution centre in Whitestown, Indiana, which occupies more than 1 million sq. ft. of space, will be in operation, shortening shipping time by four days. Temu has also started the construction of overseas warehouses, with one in the eastern and one in the western part of the U.S., and the former head of the northwestern region of DuoDuoBuyGrocery will take on the responsibility. Some of the supply chain and warehousing staff are already in place. Cross-border e-commerce logistics organisations should strengthen the popularity of overseas warehouses, and strictly control the overseas warehouse business to make it more standardised and intelligent. Overseas warehouses should be in close contact with cross-border e-commerce logistics enterprises to achieve network connectivity, so that logistics enterprises can accurately grasp the immediate situation of the warehouse and achieve rapid delivery.

5.2.2 Establishment of strategic logistics alliances

In cross-border logistics, if cross-border e-commerce or logistics companies build logistics infrastructure alone, they will face a huge cost problem. SHEIN's goods transport is jointly completed by several logistics companies. According to the research conducted by Transport Link Intelligence, in terms of domestic logistics, SHEIN will contract logistics to SF and Cross in addition to its own logistics. In addition to its own logistics, SHEIN has contracted out its domestic logistics to SF and Crossing, with SF being responsible for 2/3 of the total business outside Guangdong province, and SHEIN's own logistics and Crossing being responsible for

1/3 of the total business within Guangdong province.²⁰² In July 2012, SHEIN also signed a strategic co-operation agreement with China Southern Airlines Logistics, which is responsible for the domestic direct mail business. 95% of SHEIN's merchandise worldwide is sent from its central warehouse in Foshan. There are 9 distribution warehouses in Foshan, with a warehouse storage capacity of about 30 million pieces and about 400,000-500,000 SKUs; overseas transit warehouses are located in many countries such as Saudi Arabia, Dubai, Italy, Australia, Vietnam, etc., which are only responsible for receiving returns from consumers and do not carry out shipments; and overseas operation warehouses are located in Hong Kong (China), Belgium, Delhi, the northeastern U.S., and the western U.S., etc., which are responsible for regional distribution, undertaking 5% of SHEIN's global merchandise.

Temu's strategy is relatively different, only domestic shipping costs are shared by the merchant and Temu, while other logistics costs are borne by Temu. Temu merchants on the platform mainly have two models: VMI model (Vendor Managed Inventory) and JIT model (Just In Time). VMI mode, which stands for "stock first, then sell on the shelves" mode of stock preparation. Sellers need to apply to Temu for stocking first, after getting the warehouse space, sellers will send the goods to Temu's warehouse, Temu is responsible for warehousing; then Temu will handle the shipment according to the order, and the platform merchant will only need to bear half of the freight cost to the warehouse. The advantage of the VMI mode is that the seller's risk is small, and won't be subjected to fines because of the logistic timeliness problem. At the same time, the disadvantages of the VMI model are also obvious. Because of the goods to the warehouse, the seller will have a certain risk of pressure goods. Although the warehouse does not charge money, if the warehouse does not prepare the goods in time, the selling link may face the risk of being taken off the shelves.

SHEIN and Temu attach great importance to the service quality and efficiency of logistics, and the huge logistics costs also limit profitability. Therefore, logistics co-operation between cross-border e-commerce or logistics enterprises based on

economies of scale, joint construction of logistics facilities and the formation of logistics strategic alliances can largely reduce the cost of cross-border logistics. For example, multiple cross-border e-commerce or logistics enterprises form an alliance and together invest in building or renting logistics infrastructure such as overseas warehouses and border warehouses, and jointly set up a logistics and warehousing centre at home and abroad. Member enterprises in the alliance can transport commodities to foreign logistics and distribution centres for storage, and when domestic consumers place orders, foreign logistics and distribution centres will transport commodities to domestic distribution centres in accordance with shipping instructions, which will deliver commodities to domestic consumers in accordance with delivery instructions, and vice versa. In this way, the cost of cross-border logistics will be greatly reduced.

5.3 Corporate value proposition and ecosystem optimisation

5.3.1 corporate value proposition

In the past, many cross-border e-commerce enterprises in China did not pay attention to the construction of corporate values. On the one hand, some of them believe that the promotion of brand overseas is limited to the development strategy of large enterprises, and their own development of brand overseas is still very long-term. From that perspective, many cross-border e-commerce enterprises have little interest in brand building, thus affecting their development speed. On the other hand, many domestic cross-border e-commerce enterprises choose to go overseas only after encountering difficulties in their own development process, and do not have sufficient response to the risks of the international market. SHEIN's idea of going overseas with its brand is based on the underlying logic and spirit of "doing branding seriously". The underlying logic and spirit of SHEIN's idea of going overseas lies in "serious branding". The company thinks from the perspective of the international market and

completes its internal strategic deployment before launching its products in the market. Firstly, SHEIN clearly understands that the future market competition is inevitably brand competition; secondly, SHEIN chooses the target market and target group, and clearly defines the path for the brand to go to sea; thirdly, it builds a perfect organisational structure; and fourthly, it establishes the operation mode of the independent station, which is in direct contact with the consumers. These measures have enabled SHEIN to successfully lay an advantage in the international market.

Temu's corporate values are the result of exploring cross-border e-commerce technology and model innovation, empowering Chinese factories, and Poundland's desire to create more value for consumers and merchants. And the extension of Temu is to extend this value creation to enterprises going overseas. Taking manufacturing SMEs as an example, Temu opens a new door for the globalisation of Chinese manufacturing. Temu is based on helping Chinese enterprises to achieve revenue growth and create a second growth pole for going overseas, the key lies in the fact that Pinduoduo has been deeply engaged in the supply chain for many years and understands the difficulties in the development of many manufacturing enterprises in China's huge supply chain. Pinduoduo's main site penetrates into many manufacturing sectors and has provided full chain digital services for a large number of manufacturing brands, such as small and medium-sized manufacturing enterprises in the Yangtze River Delta, Pearl River Delta and other regions, which are the beneficiaries of Pinduoduo's development. These small and medium-sized manufacturing enterprises are highly concentrated and highly specialised, and have accumulated strong manufacturing capabilities over the years as OEMs for brands. However, under the traditional OEM model, factories hold a lot of manufacturing experience in hand, but do not have the ability to directly acquire customers, and have to rely on channel intermediaries to sell their products, with diluted profits. Therefore, Temu helps these small and medium-sized factories that lack channel layout to directly face global consumers and reap the dividends of overseas markets. This is

also another major advantage of Temu: with Jinduoduo's experience in e-commerce business, Temu has a strong ability to find people for goods, and Temu believes that the essence of the platform business is to benefit others as well as oneself, and Temu's team is using the evolution of cross-border e-commerce methodology to help Chinese manufacturing to reap multiple dividends. Lowering the threshold of entry for cross-border business is conducive for SMEs to carry forward their supply chain capabilities and overcome the sales difficulties of going overseas. Under Temu's fully managed model, merchants have a simple supply chain and are exempted from bearing the costs of casting flow and other expenses. With the launch of the platform JIT mode, enterprises can also send the first single to the platform domestic warehouse for the measurement of money, if the market recognition and then increase production, reducing the pressure on the factory's stocking.

5.3.2 Improvement of regulatory mechanisms

Cross-border e-commerce platforms need to build an honest environmental regulation mechanism to reward and punish relevant enterprises, and then regulate the behavioural activities of all subjects in the system. Research shows that cross-border e-commerce platforms improve the punishment of bad suppliers, which is not only conducive to protecting the rights and interests of consumer populations, but also enhances the enthusiasm of consumer participation, and thus creates a good business environment. Cross-border e-commerce platforms can start from the following points, first, cross-border e-commerce platforms can restrain supplier behaviour by improving the incentives and penalties, giving certain incentives and rewards to suppliers operating in good faith, and giving relevant penalties to fraudulent and bad suppliers, which will be published on the platform to prevent them from practicing second-hand fraud on consumers. Secondly, the cross-border e-commerce platform can urge suppliers to operate in good faith by increasing the credit deposit paid by suppliers. The cross-border e-commerce platform can not only charge an appropriate

deposit to restrain the suppliers, but also once the suppliers choose to fraudulent behaviour, the cross-border e-commerce platform can charge a certain percentage of additional costs, and require the suppliers to make certain compensation to the consumers. Thirdly, the cross-border e-commerce platform can set up consumer complaint channels and rewards for consumers who actively participate in the complaints, so as to make the consumer complaints more convenient and quick and higher participation, and to realise the double supervision of consumers and cross-border e-commerce platforms on the suppliers. At the same time, the cross-border e-commerce platform should prohibit unscrupulous suppliers from contacting consumers privately in order to prevent them from complaining and provide them with certain subsidies, and strengthen the governance of the platform, so as to make the suppliers have a sense of reverence and assume social responsibility. Fourth, modern information technology should be used to establish a cross-border e-commerce enterprise credit system, and improve the enterprise credit evaluation index system. The enterprise credit rating evaluation, enterprise qualification audit, credit evaluation to do real and effective, traceable, so as to promote the healthy development of the system, to create a good credit business environment.

In the face of numerous quality complaints from U.S. consumers, Temu's quality control of suppliers is based on encouragement and guidance, supplemented by penalties. Temu insists on giving merchants partial quality after-sales responsibility relief on the basis of the original after-sales service rules. Temu has the right to deal with after-sales quality orders belonging to merchants' responsibility in accordance with different grades based on the quality of the goods scores. Specific judging rules are as follows: firstly, products with quality scores of 90 to 100 are defined as quality models, if quality models have after-sale quality problems, the penalty result is: not to settle the payment for the order, and the seller does not have to bear the compensation; secondly, products with quality scores of 70 to 90 are defined as usual models, if usual models have after-sale quality problems, the penalty result is: not to settle the

payment for the order, and the seller will pay 1.5 per cent of the declared price to the merchant for the after-sale quality problems. Sellers in accordance with the declared price of 1.5 times to bear the compensation; Third, the quality of 60 points to 70 points of the product is defined as substandard paragraph, if the substandard paragraph after-sales quality problems, the penalty is: not settled the order payment, the seller in accordance with the declared price of 2.5 times to bear the compensation; Fourth, the quality of 0 points to 60 points of the product is defined as a low-quality paragraph, if the low-quality paragraph after-sales quality problems, the penalty is: not settled the order payment, the seller in accordance with the price of 2.5 times to bear the compensation. The penalty is: no settlement of the order payment, the seller will bear the compensation according to 5 times of the declared price; Fifth, if it is a new product without quality score, if there is after-sale quality problem, the penalty is: no settlement of the order payment, the seller will bear the compensation according to 1 times of the declared price; Sixth, if it is a clothing and footwear product, due to the quality of the after-sale problem caused by the big and small, the penalty is: no settlement of the order payment, the seller will bear the compensation according to 2.5 times of the declared price. Sixth, in the case of clothing and footwear products, the quality of after-sale problems due to oversize and undersize, the result of the penalty is: not to settle the payment for the order, and the seller does not have to bear the compensation. At the same time, for high unit price goods, the platform is no longer directly in accordance with the 5 times the fine, will be based on the actual situation to give the corresponding payout ceiling.

5.3.3 Widening the ecosystem of marketing channels

(1) Search engine promotion

Search engine promotion is the most direct and effective mainstream promotion mode of online marketing. As overseas consumers are used to shopping through PC and search engines, Temu has placed a large number of paid search, display ads and

video ads on Google, thus optimising the search engine marketing strategy to increase brand exposure and promote conversion. Therefore, to optimise search engine marketing strategies to increase brand exposure and drive conversions, TEMU provides overseas consumers with the fastest way to a brand, i.e. creating a standalone website. The operation of a stand-alone website helps branding and unification, and reduces the cost of product testing. TEMU not only collects personal information from the website, such as consumption history, favourite records, time spent on the page, etc., to build up a database; it also converts multi-channel traffic to the official website into private traffic, which is conducive to the management of the user operation in the future.

(2) Social media promotion

Social media is another way for TEMU to promote its brand. Currently, TEMU is widely promoted through the following four aspects. Firstly, TEMU uses a matrixed approach to build up its accounts, whereby large and small accounts drive traffic to each other. In addition, TEMU has more than 20 sub-accounts, each of which is divided into different sections, and draws traffic through the homepage of the main account. Secondly, TEMU has opened "localised" accounts in different countries and regions, and the clothing styles and model poses of TEMU's sub-accounts have been adjusted according to the aesthetics of consumers in different countries. Thirdly, TEMU has set up separate accounts for different product categories to share verticalised content. If one social media account is dedicated to fashion, another is dedicated to beauty. Fourth, TEMU promotes the production of original user content through the hashtag function of social media.

With the rapid development of network economy, online channels can provide more dividends for the development of enterprises, but the promotion of offline marketing should not be ignored. Therefore, China's cross-border e-commerce enterprises take the integration of "online + offline" omni-channel marketing as a strategic focus to promote the brand development of cross-border e-commerce

enterprises and expand the influence of the brand in the overseas market. In terms of online marketing, with the development of mobile Internet technology, people's demand for social networks is also growing. Social media as a new type of communication is widely used in various industries and has become a necessary way and development trend of online marketing promotion. Firstly, cross-border e-commerce enterprises can strengthen interaction with fans through official platforms of social media operation such as Facebook, Instagram, etc., such as introducing hot topics, guaranteeing the daily posting volume and regularly announcing the relevant rules of activities. Secondly, effective collaboration through the social attributes of KOLs and KOCs, free products and sales commissions for web stars, and other forms of expanding brand influence. Furthermore, by setting up promotional offers on the homepage of the website to increase customers' willingness to buy and promote the conversion of products.

(3) Affiliate marketing promotion

TEMU's "Affiliate Marketing Programme" encourages more and more users to voluntarily participate in brand promotion in the form of rebates, thus achieving a win-win situation. In terms of offline marketing, cross-border e-commerce companies need to create multi-scene interactive experience shops that focus on consumers' senses. Although Internet technology has broken the boundaries of time and space, mobile devices enable consumers to more conveniently and quickly access product brand information directly. However, for consumers, offline shops are always the most impressive platform for direct product contact. Therefore, cross-border e-commerce enterprises in the design of shops: first, to choose products that fit their own brand culture. Fully integrate products and consumption scenes, and use artificial intelligence, big data and cloud computing and other technologies to create a diversified consumption experience scene. The second is to take the visual and tactile experience as the entry point. Through the introduction of AR, cloud shelves and other new technologies, we strive to provide consumers with the most immersive shop

services, and enhance the interaction between the experience and the brand. For example, sponsoring student clubs to enter the campus to bring the brand closer to consumers, win their trust, and allow them to enjoy a higher-quality and more refined service experience. Whether it is online or offline marketing, cross-border e-commerce companies need to start from the customer's point of view in order to get the best marketing and brand image. In the current situation, the epidemic has led to challenges for brick-and-mortar shops, and cross-border e-commerce enterprises can adopt online and offline integration of omni-channel marketing, utilising the mode of ordering online and picking up offline to enhance consumers' shopping experience and create more revenue for the brand.

Chapter 6 Conclusion

6.1 Conclusion

The rapid development of cross-border e-commerce in China has been accompanied by numerous challenges. This paper seeks to elucidate the composition and operational dynamics of cross-border e-commerce platform ecosystems through the lens of business ecosystem theory and relevant frameworks. By examining the prevailing state of China's cross-border e-commerce platform ecosystem, this paper endeavors to identify extant issues and underlying causes therein.

Drawing upon insights from domestic and international cross-border e-commerce research, this paper scrutinizes the strategic responses of key industry players, namely Temu, within the shared ecosystem of the cross-border e-commerce marketplace. Despite operating within the same competitive landscape, Temu has adopted divergent strategic trajectories, reflecting variances in their foundational value propositions.

Temu's platform business model is characterized by a pronounced emphasis on nurturing the domestic supply chain ecosystem. This strategic orientation aligns with the company's inception ethos, emphasizing resilience amidst ecosystem perturbations and analogous challenges.

6.2 Research Limitations

Owing to the author's research level and time constraints, this paper exhibits the following deficiencies.

Firstly, given the limited space in the article, incomplete data collection, and the author's own deficiencies in interdisciplinary expertise, this paper only presents a relatively simplistic analysis framework rooted in ecological theory, which cannot provide a comprehensive analysis of the overseas strategies of export-oriented cross-border e-commerce enterprises.

Secondly, the article focuses solely on Temu as a case studies, which may lack representativeness in its analysis. The current issues faced by these two enterprises are not analyzed in sufficient depth or detail, thus leaving many aspects open for further research by scholars.

Lastly, due to access limitations, the article includes fewer citations of relevant data, predominantly focusing on theoretical analysis. Additional supplementary research is needed for empirical testing data.

Therefore, more representative export-oriented cross-border e-commerce enterprises using the existing analytical framework can be added into future research, which may offer more precise and detailed actionable recommendations for their development.

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[Summary: 8 English + 26 Chinese]

APPENDIX

Temu and SHEIN comparative analysis data (from similar web 2024.1-2024.3)



广告变现

热门广告目的地 ①

Jan 2024 - Mar 2024 全球 桌面端

域	流量来源	组流量份额得分
 msn.com	13.25% 	 100%
 tatrc.com	12.94% 	 100%
 news.yahoo.co.jp	9.29% 	 99.3%
 mfrkx.com	5.97% 	 98.6%
 cactus-search.com	2.76% 	 100%

显示广告

temu.com在14.87%展示性广告流量方面处于领先地位

热门媒体 ①

Jan 2024 - Mar 2024 全球 桌面端

发布者	总份额	组流量份额得分
 yahoo.com	4.47% 	 91.1%
 linkbux.com	0.28% 	 100%
 rstyle.me	0.18% 	 100%
 rakuten.com	0.17% 	 76.2%  23.8%
 linkhaitao.com	0.12% 	 100%

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